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Lesson – 23

N ew-product developm ent

The development of original products, product improvements, product modifications, and new brands through the firm's own R&D efforts.

Idea generation

The systematic search for new-product ideas.

Idea screening

Screening new-product ideas in order to spot good ideas and drop poor ones as soon as possible.

Product concept

A detailed version of the new-product idea stated in meaningful consumer terms.

Concept testing

Testing new-product concepts with a group of target consumers to find out if the concepts have strong consumer appeal.

Business analysis

A review of the sales, costs, and profit projections for a new product to find out whether these factors satisfy the company's objectives.

Product developm ent

A strategy for company growth by offering modified or new products to current market segments.

Com m ercialization

Introducing a new product into the market.

Test m arketing

The stage of new-product development in which the product and marketing program are tested in more realistic market settings.

Sequential product developm ent

A new-product development approach in which one company department works to complete its stage of the process before passing the new product along to the next department and stage.

Introduction stage

The product life-cycle stage in which the new product is first distr ibuted and made available for purchase.

Growth stage

The product life-cycle stage in which a product's sales start climbing quickly.

M aturity stage

The stage in the product life cycle in which sales growth slows or levels off.

Decline stage

The product life-cycle stage in which a product's sales decline.

Innovators

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Innovators help get the product exposure but are not often perceived by the majority of potential buyers as typical consumers.

Early Adopters

This group serves as opinion leaders to the rest of the market.

Laggards

This group is suspicious of change and adopts only after the product is no longer considered an innovation.

Early M ajority

Some 34% of the market that is the "typical consumer" but likely to adopt innovations a little sooner.

Late M ajority

This group is skeptical and adopts innovations only after cost of the market has accepted the product.

Core product

Is the core, problem solving benefits that consumers are really buying when they obtain a product or service.

Actual product

M ay have as many as five characteristics that combine to deliver core product benefits.

Augm ented product

Includes any additional consumer services and benefits built round the core and actual products.

LESSON – 24

Price the 2nd P of M arketing M ix.

A. Introduction

All profit and nonprofit organizations must set prices on their products and services. Price goes by many names (rent, tuition, fee, fare, rate, interest, toll, premium, et cetera). Price is the amount of money charged for a product or service or the sum of the values that consumers exchange for the benefits of having or using the product or ser vice. Com m on m istakes that Companies make are:

1. Pricing is too cost-oriented.
2. Prices are not revised often enough to reflect market changes.
3. Prices do not take into account the other elements of the marketing mix.
4. Prices are not varied for different products, market segments, and purchase occasions.

B. Factors to Consider W hen Setting Prices

A company's racing decisions are affected by both internal company factors and external environmental factors

a) IN TERN AL FACTO RS Affecting Pricing Decision

Internal factors affecting pricing include the company's marketing objectives, marketing mix strategy, costs, and organizational considerations.

I. M arketing Objectives

Before setting price, the company must decide on its strategy for the

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product. If the company has selected its target market and positioning carefully, then its marketing mix strategy, including price, will be fairly straightforward.

II. Costs

Costs set the floor for the price that the company can charge for its product. The company wants to charge a price that both covers all its costs for producing, distributing, and selling the product and de livers a fair rate of return for its effort and risk.

• Types of Costs

A company's costs take two forms, fixed and variable. Fixed costs (also known as overhead) are costs that do not vary with production or sales level.

• Costs at Different Levels of Production

To price wisely, manage ment needs to know how its costs var y with different levels of production.

III. O rganizational Considerations

M anagement must decide who within the organization should set prices.

b) EXTERN AL FACTORS Affecting Pricing Decisions

External factors that affect pricing decisions include the nature of the market and demand, competition, and other environmental elements.

I. The M arket and Dem and

W hereas costs set the lower limit of prices, the market and demand set the upper limit.

• Pricing in Different Types of M arkets

The seller's pricing freedom varies with different types of markets. Economists recognize four types of markets, each presenting a different pricing challenge.

• Consumer Perceptions of Price and Value

In the end, the consumer will decide whether a product's price is right. Pricing decisions, like other marketing mix decisions, must be buyer oriented.

• Analyzing the Price–Demand Relationship

Each price the company might charge will lead to a different level of demand. The relationship between the price charged and the resulting demand level is shown in the demand curve in Figure.

The price elasticity of demand is given by the following formula:

Price Elasticity of Dem and= % change in Quantity demanded / % change in Price

II. Com petitors' Costs, Prices, and O ffers

Another external factor affecting the company's pricing decisions is

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competitors' costs and prices and possible competitor reactions to the company's own pricing moves. W hen setting prices, the company also must consider other factors in its external environment.

Lesson – 25

PRICE TH E 2N D P OF M ARKETIN G M IX.

A. Setting Pricing Policy

Pricing policy setting starts with setting the pricing objective that can be: Profit Oriented(concerned with increase in profit), Sales O riented (basically concerned with increase in sales) and Status Quo Oriented.

B. General Pricing Approaches

The price the company charges will be somewhere between one that is too low to produce a profit and one that is too high to produce any demand.

Break-even point

Companies set prices by selecting a general pricing approach that includes one or more of three sets of factors. W e examine these approaches: the cost-based approach (cost-plus pricing, break-even analysis, and target profit pricing); the buyer-based approach (value-based pricing);and the competition-based approach (going-rate and sealed-bid pricing).

a) Cost-Based Pricing

Cost-Plus Pricing

The simplest pricing method is cost-plus pricing—adding a standard markup to the cost of the product.

Then the manufacturer's cost per toaster is given by:

Unit Cost = variable Cost + Fixed Cost

Price - Variable Cost

The manufacturer's markup price is given by:

M arkup Price = Unit Cost

Price - Variable Cost

The manufacturer should consider different prices and estimate break-even volumes, probable demand, and profits for each.

b) Value-Based Pricing

An increasing number of companies are basing their prices on the product's perceived value. Value-based pricing uses buyers' perceptions of value, not the seller's cost, as the key to pricing.

c) Com petition-Based Pricing

Consumers will base their judgments of a product's value on the prices that competitors charge for similar products.

C. N ew-Product Pricing Strategies

Pricing strategies usually change as the product passes through its life cycle. The introductory stage is especially challenging. Companies bringing out a new product face the challenge of setting prices for the first time. They can choose between two broad strategies: market-skimming pricing and market-penetration pricing.

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a) M arket-Skim m ing Pricing

M any companies that invent new products initially set high prices to "skim" revenues layer by layer from the market. Intel is a prime user of this strategy, called market-skimming pricing .

b) M arket-Penetration Pricing

Rather than setting a high initial price to skim off small but profitable market segments, some companies use market-penetration pricing . They set a low initial price in order to penetrate the market quickly and deeply—to attract a large number of buyers quickly and win a large market share.

D. Product M ix Pricing Strategies

The strategy for setting a product's price often has to be changed when the product is part of product mix. In this case, the firm looks for a set of prices that maximizes the profits on the total product mix.

a) Product Line Pricing

Companies usually develop product lines rather than single products. In product line pricing, management must decide on the price steps to set between the various products in a line.

b) Optional-Product Pricing

M any companies use optional-product pricing—offer ing to sell optional or accessory products along with their main product.

c) Captive-Product Pricing

Companies that make products that must be used along with a main product are using captive-product pricing.

d) By-Product Pricing

In pr oducing processed meats, petroleum products, chemicals, and other products, there are often by-products. If the by-products have no value and if getting rid of them is costly, this will affect the pricing of the main product.

e) Product Bundle Pricing

Using product bundle pricing, sellers often combine several of their products and offer the bundle at a reduced price.

Lesson – 26

PRICE TH E 2N D P OF M ARKETIN G M IX.

A. Price-Adjustm ent Strategies

Companies usually adjust their basic prices to account for var ious customer differences and changing situations.

a. Discount and Allowance Pricing

M ost companies adjust their basic price to reward customers for certain responses, such as early payment of bills, volume purchases, and off-season buying. These price adjustments—called discounts and allowances.

A cash discount is a price reduction to buyers who pay their bills promptly.

A functional discount (also called a trade discount) is offered by the seller to trade channel members who perform certain functions, such as selling, storing, and record keeping.

seasonal discount is a price reduction to buyers who buy merchandise or services out of season.

Allowances are another type of reduction from the list price.

b. Segm ented Pricing

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Companies will often adjust their basic prices to allow for differences in customers, products, and locations. In segmented pricing, the company sells a product or service at two or more prices, even though the difference in prices is not based on differences in costs.

c. Psychological Pricing

Price says something about the product.

d. Prom otional pricing

Companies will temporarily price their products below list price and sometimes even below cost.

e. Geographical Pricing

A company also must decide how to pr ice its products for customers located in different parts of the country or world.

f. International Pricing

Companies that market their products internationally must decide what prices to charge in the different countries in which they operate.

Lesson – 27

PRICE TH E 2N D P OF M ARKETIN G M IX.

A. Price Changes

After developing their pricing structures and strate gies, companies often face situations in which they must initiate price changes or respond to price changes by competitors.

a. Initiating Price Changes

In some cases, the company may find it desirable to initiate either a price cut or a price increase. In both cases, it must anticipate possible buyer and competitor reactions.

i. Initiating Price Cuts

Several situations may lead a firm to consider cutting its price. One of the such
circumstance is excess capacity.

ii. Initiating Price Increases

A successful price increase can greatly increase profits.

b. Buyer Reactions to Price Changes

W hether the price is raised or lowered, the action will affect buyers, competitors, distributors, and suppliers and may interest government as well.

c. Com petitor Reactions to Price Changes

A firm considering a price change has to worry about the reactions of its competitors as well as its customers. Competitors are most likely to react when the number of firms involved is small, when the product is uniform, and when the buyers are well informed.

d. Responding to Price Changes

The firm needs to consider several issues: W hy did the competitor change the

price? W as it to take more market share, to use excess capacity, to meet changing cost conditions, or to lead an industry wide price change? Is the price change temporary or permanent?

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Lesson – 28

PLACE- TH E 3RD P O F M ARKETIN G M IX.

A. M arketing Channel

A set of interdependent organizations involved in the process of making a product or ser vice available for use or consumption by the consumer or business user.

B. W hy Are M arketing Interm ediaries Used?

The use of intermediaries results from their greater efficiency in making goods available to target markets. Through their contacts, experience, specialization, and scale of operation, intermediaries usually offer the firm more than it can achieve on its own.

C. D istribution Channel Functions

The distribution channel moves goods and services from producers to consumers. It overcomes the major time, place, and possession gaps that separate goods and services from those who would use them. M embers of the marketing channel perform many key functions:

- Information:
- Promotion:
- Contact:
- M atching:
- Negotiation:
- Physical distribution:
- Financing:
- Risk taking:

D. N um ber of Channel Levels

Distribution channels can be described by the number of channel levels involved.

E. Channel Behavior and O rganization

Distribution channels are more than simple collections of firms tied together by var ious flows. They are complex behavioral systems in which people and companies interact to accomplish individual, company, and channel goals.

F. Vertical M arketing System s

Historically, distribution channels have been loose collections of independent companies, each showing little concern for overall channel performance.

The VM S can be dominated by the producer, wholesaler, or retailer. Vertical marketing systems came into being to control channel behavior and manage channel conflict.

a. Corporate VM S

A corporate VM S combines successive stages of production and distribution under single ownership.

b. Contractual VM S

A contractual VM S consists of independent firms at different levels of production and distribution who joins together through contracts to obtain more economies or sales impact than each could achieve alone.

c. Adm inistered VM S

An administered VM S coordinates successive stages of production and distribution, not through common ownership or contractual ties but through the size and power of one of the parties.

G. H orizontal M arketing System s

The horizontal marketing system, in which two or more companies at one level join

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together to follow a new marketing opportunity.

H . H ybrid M arketing System s

In the past, many companies used a single channel to sell to a single market or market segment.

H ybrid M arketing Channel

Hybrid channels offer many advantages to companies facing large and complex markets.

I. Channel D esign Decisions

W e now look at several c hannel decisions manufacturers face. In designing marketing channels, manufacturers struggle between what is ideal and what is practical.

a. Analyzing Consum er Service N eeds

Designing the distribution channel starts with finding out what targeted consumers want from the channel.

b. Setting Channel Objectives and Constraints

Channel objectives should be stated in terms of the desired service level of target consumers.

Usually, a company can identify several segments wanting different levels of channel service.

c. Identifying M ajor Alternatives

W hen the company has defined its channel objectives, it should next identify its major channel alternatives in terms of types of intermediaries, the number of intermediaries, and the responsibilities of each channel member.

d. Types of Interm ediaries

A firm should identify the types of channel members available to carry out its channel work.

e. N um ber of M arketing Interm ediaries

Companies must also determine the number of channel members to use at each level. Three strategies are available: intensive distribution, exclusive distribution, and selective distribution.

J. Channel M anagem ent D ecisions

Channel management calls for selecting and motivating individual channel members and evaluating their performance overtime.

a. Selecting Channel M em bers

Producers vary in their ability to attract qualified marketing intermediaries. Some producers have no trouble signing up channel members.

b. M otivating Channel M em bers

Once selected, channel members must be motivated continuously to do their best. The company must sell not only through the intermediaries but to them.

c. Evaluating Channel M em bers

The producer must regularly check the channel member's performance against standards

Changing Channel Organization

Changes in technology and the explosive growth of direct and online marketing are having a profound impact on the nature and design of marketing channels.

Lesson – 29

LOGISTIC M AN AGEM EN T

A. Push Versus Pull Strategy:

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A promotion strategy that calls for using the sales force and trade promotion to push the Product thr ough the channel is called push strategy.

B. Physical Distribution and Logistics M anagem ent

Companies must decide on the best way to store, handle, and move their products and services so that they are available to customers in the right assortments, at the right time, and in the right place.

a. N ature and Im portance of Physical Distribution and M arketing Logistics

To some managers, physical distribution means only trucks and warehouses. But modern logistics is much more than this. Physical distribution—or marketing logistics—involves planning, implementing, and controlling the physical flow of materials, final goods, and related information fr om points of origin to points of consumption to meet customer requirements at a profit.

b. Goals of the Logistics System

Some companies state their logistics objective as providing maximum customer service at the least cost. Unfor tunately, no logistics system can both maximize customer ser vice and minimize distribution costs. M aximum customer service implies rapid delivery, large inventories, flexible assortments, liberal returns policies, and other services.

c. M ajor Logistics Functions

Given a set of logistics objectives, the company is ready to design a logistics system that will minimize the cost of attaining these objectives. The major logistics functions include order processing, warehousing, inventory management, and transportation.

i. O rder Processing

Orders can be submitted in many ways—by mail or telephone, through salespeople, or via computer and EDI. In some cases, the suppliers might actually generate orders for their customers.

ii. W arehousing

Every company must store its goods while they wait to be sold. A storage function is needed because production and consumption cycles rarely match. A company must decide on how many and what types of warehouses it needs and where they will be located.

iii. Inventory

Inventory levels also affect customer satisfaction. The major problem is to maintain the delicate balance between carrying too much inventor y and carrying too little. Carrying too much inventory results in higher-than-necessary inventory-carrying costs and stock obsolescence.

iv. Transportation

M arketers need to take an interest in their company's transportation decisions. The choice of transportation carriers affects the pricing of products, delivery performance, and condition of the goods when they arrive

d. Integrated Logistics M anagem ent

Today, more and more companies are adopting the concept of integrated logistics

M anagement. This concept recognizes that providing better customer service and trimming distribution costs requires teamwork, both inside the c ompany and among all the marketing channel organizations.

Cross-Functional Team work Inside the Com pany

In most companies, responsibility for various logistics activities is assigned to many different functional units—marketing, sales, finance, manufactur ing, purchasing.

e. Building Channel Partnerships

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The members of a distribution channel are linked closely in delivering customer satisfaction and value. One company's distribution system is another company's supply system.

f. Third-Party Logistics

Companies may use third-party logistics providers for several reasons. First, because getting the product to market is their main focus, these providers can often do it more efficiently and at lower cost than clients whose strengths lie elsewhere.

Lesson – 30

RETAILIN G AN D W H O LESALIN G.

A. Retailing

Retailing includes all the activities involved in selling goods or services directly to final consumers for their personal, no business use.

a. Types of Retailers:

Retail stores come in all shapes and sizes, and new retail types keep emerging.. They can be classified in terms of sever al characteristics, including the amount of service they offer, the breadth and depth of their product lines, the relative prices they charge, and how they are organized.

Am ount of Service

Different products require different amounts of service, and customer service preferences vary. Retailers may offer one of three levels of service—self-service, limited service, and fullservice.Self-service retailers serve customers who are willing to perform their own "locate-compareselect"pocess to save money.

Product Line

Retailers also can be classified by the length and breadth of their product assortments. Some retailers, such as specialty stores, carry narrow product lines with deep assortments within those lines.

Convenience stores

Convenience stores are small stores that carry a limited line of high-turnover convenience goods.

Relative Prices

Retailers can also be classified according to the prices they charge.

Discount Stores:

A discount store sells standard merchandise at lower prices by accepting lower margins and selling higher volume.

Off-Price Retailers

W hen the major discount stores traded up, a new wave of off-price retailers moved in to fill the low-price, high-volume gap.

Independent off-price retailers

Independent off-price retailers are either owned and run by entrepreneurs or are divisions of lar ger retail corporations.

Factory outlets

sometimes group together in factory outlet malls and value-retail centers, where dozens of outlet stores offer prices as low as 50 percent below retail on a wide range of items.

W arehouse clubs (or wholesale clubs, or membership warehouses)

W arehouse clubs operate in huge, drafty, warehouse like facilities and offer few frills.

b. Retailer M arketing Decisions

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Retailers are searching for new marketing strategies to attract and hold customers.

i. Target M arket and Positioning Decision

Retailers first must define their target markets and then decide how they will position themselves in these markets.

ii. Product Assortm ent and Services D ecision

Retailers must decide on three major product var iables: product assortment, services mix, and store atmosphere.

iii. Price D ecision

A retailer's price policy is a crucial positioning factor and must be decided in relation to its target market, its product and service assortment, and its competition.

iv. Prom otion Decision

Retailers use the normal promotion tools—advertising, personal selling, sales promotion, public relations, and direct marketing—to reach consumer s.

v. Place D ecision

Retailers often cite three critical factors in r etailing success: location, location, and location! A retailer’s location is key to its ability to attract customers.

vi. Site Selection for Retail Location

Site selection is an important decision for retailers planning to open new stores.

c. The Future of Retailing

Retailers operate in a harsh and fast-changing environment, which offers threats as well as opportunities.

N ew Retail Form s and Shortening Retail Life Cycles

New retail forms continue to emerge to meet new situations and consumer needs, but the life cycle of new retail forms is getting shorter.

• Growth of N o store Retailing

Although most retailing still takes place the old-fashioned way across countertops in stores, consumers now have an array of alternatives, including mail order, television, phone, and online shopping. "

• Increasing Intertype Com petition

Today's retailers increasingly face competition from many different forms of retailers.

• The Rise of M ega retailers

The rise of huge mass merchandisers and specialty superstores, the formation of vertical marketing systems and buying alliances, and a rash of r etail mergers and acquisitions have created a core of superpower mega retailers.

• Growing Im portance of Retail Technology

Retail technologies are becoming critically important as compe titive tools.

B. W holesaling

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W holesaling includes all activities involved in selling goods and ser vices to those buying for resale or business use. W e call wholesalers those firms engaged primarily in wholesaling activity.

a. Types of W holesalers

W holesalers fall into three major groups : merchant wholesalers, brokers and agents, and manufacturers' sales branches and offices.

i. M erchant wholesalers

Independently owned businesses that take title to the merchandise they handle.

• Full-service wholesalers

Provide a full line of services: carrying stock, maintaining a sales force, offering credit, making deliveries, and providing management assistance. There are two types:

W holesale m erchants:

W holesale merchants Sell primarily to retailers and provide a full range of services. General-merchandise wholesalers carry several merchandise lines, whereas general-line wholesalers carry one or two lines in greater depth.

Industrial distributors:

Industrial distributors Sell to manufacturers rather than to retailers. Provide several services, such as carrying stock, offering credit, and providing delivery. M ay carry a broad range of merchandise, a general line, or a specialty line.

• Lim ited-service wholesalers:

Offer fewer services than full-service wholesalers. Limited-service wholesalers are of several types:

Cash-and-carry wholesalers: Carry a limited line of fast-moving goods and sell to small retailers for cash.

Truck wholesalers (or truck jobbers): Perform primarily a selling and delivery function. Carr y a limited line of semi perishable merchandise (such as milk, bread, snack foods), whichthey sell for cash as they make their rounds to supermarkets, small grocer ies, hospitals,restaurants, factory cafeterias, and hotels.

Drop shippers: Do not carry inventory or handle the product. On receiving an order, they select a manufacturer, who ships the merchandise directly to the customer.

Rack jobbers: Serve grocery and drug retailers, mostly in nonfood items.

Producers' cooperatives :Owned by farmer members and assemble farm produce to sell in local markets.

M ail-order wholesalers: Send catalogs to retail, industrial, and institutional customers featuring jewelry, cosmetics, specialty foods, and other small items.

ii. Brokers and agents

Do not take title to goods. M ain function is to facilitate buying and selling, for which they earn a commission on the selling price. Generally, specialize by product line or customer types.

• Brokers:

Chief function is bringing buyers and sellers together and assisting in negotiation.

• Agents:

Represent either buyers or sellers on a more permanent basis than brokers do. There are several types:

M anufacturers' agents: Represent two or more manufacturers of complementary lines. A formal written agreement with each manufacturer covers pricing,

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territories, order handling, delivery service and warranties, and commission rates.

Selling agents: Have contractual authority to sell a manufacturer's entire output. The M anufacturer either is not interested in the selling function or feels unqualified.

Purchasing agents: Generally has a long-term relationship with buyers and make Purchases for them, often receiving, inspecting, warehousing, and shipping the merchandise to the buyers.

Com m ission m erchants: Take physical possession of products and negotiate sales.

iii. M anufacturers' and retailers' branches and offices

W holesaling operations conducted by sellers or buyers themselves rather than through independent wholesalers.

Sales branches and offices: Set up by manufacturers to improve inventory control, selling, and promotion.

Purchasing offices: Perform a role similar to that of brokers or agents but are part of the buyer's organization.

b. W holesaler M arketing Decisions

W holesalers have experienced mounting competitive pressures in recent years.

i. Target M arket and Positioning Decision

Like retailers, wholesalers must define their target markets and position themselves effectively—they cannot serve everyone.

ii. M arketing M ix D ecisions

Like retailers, wholesalers must decide on product assortment and services, prices, promotion, and place. The wholesaler's "product" is the assortment of products and services thatit offers.

Lesson œ 31

Distribution channel

A set of interdependent organizations involved in the process of making a product or ser vice available for use or consumption by the consumer or business user.

Channel level

A layer of intermediaries that performs some work in bringing the product and its ownership closer to the final buyer.

Direct marketing channel

A marketing channel that has no intermediary levels.

Indirect marketing channel

Containing one or more intermediary levels.

Channel conflict

Disagreement among marketing channel members on goals and r oles—who should do what and for what rewards.

Conventional distribution channel

A channel consisting of one or more independent producers, wholesalers, and retailers, each a separate business seeking to maximize its own profits even at the expense of profits for the system as a whole.

Vertical marketing system (VM S)

A distribution channel structure in which producers, wholesales, and retailers act as a unified system.

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Corporate VM S
A vertical marketing system that combines successive stages of production and distribution under single ownership—channel leadership is established through common ownership.
Contractual VM S
A vertical marketing system in which independent firms at different levels of production and distribution join together through contracts to obtain more economies or sales impact than they could achieve alone.
Franchise organization
A contractual vertical marketing system in which a channel member, called a franchiser, links several stages in the production-distribution process.
Administered VM S
A vertical marketing system that coordinates successive stages of production and distribution, not through common ownership or contractual ties but through the size and power of one of the parties.
Horizontal marketing system
A channel arrangement in which two or more companies at one level join together to follow a new marketing opportunity.
Hybrid marketing channel
M ulti-channel distribution system in which a single firm sets up two or more marketing channels to reach one or more customer segments.
Intensive distribution
Stocking the product in as many outlets as possible.
exclusive distribution
Giving a limited number of dealers the exclusive right to distribute the company's products in their territories.
Selective distribution
The use of more than one, but fewer than all, of the intermediaries who are willing to carry the company's products.
Physical distribution/marketing logistics
The tasks involved in planning, implementing, and controlling the physical flow of materials, final goods, and related information fr om points of origin to points of consumption to meet customer requirements at a profit.
Distribution center
A large, highly automated warehouse designed to receive goods from various plants and suppliers, take orders, fill them efficiently, and deliver goods to customers as quickly as possible.
Integrated logistics management
The logistics concept that emphasizes teamwork, both inside the company and among all the marketing channel organizations, to maximize the performance of the entire distribution system.
Third-party logistics provider
An independent logistics provider that performs any or all of the functions required to get their clients' product to market.

Retailing
Retailing includes all the activities involved in selling goods or services directly to final consumers for their personal, no business use.
W holesaling
W holesaling includes all activities involved in selling goods and ser vices to those

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buying for resale or business use.

Lesson œ 32

PROM OTION THE 4 P OF M ARKETING M IX
TH

A. The M arketing Communications

M odern marketing calls for more than just developing a good product, pricing it attractively, and making it available to target customers. Companies must also communicate with current and prospective customers, and what they communicate should not be left to chance.

B. The M arketing Communications M ix.

A company's total marketing communications mix—also called its promotion mix consists of the specific blend of advertising, personal selling, sales promotion, public relations, and direct marketing tools that the company uses to pursue its advertising and marketing objectives.

C. Integrated M arketing Communications

During the past several decades, companies around the world have perfected the art of mass marketing—selling highly standardized products to masses of customers. In the process, they have de veloped effective mass-media advertising techniques to support their mass-marketing strategies.

D. The Changing Communications Environment

Two major factors are changing the face of today's marketing communications. First, as mass markets have fragmented, marketers are shifting away from mass marketing. Second, vast improvements in information technology are speeding the movement toward segmented marketing.

E. The Need for Integrated M arketing Communications

The shift from mass marketing to targeted marketing, and the corresponding use of a richer mixture of communication channels and promotion tools, poses a problem for marketers.

F. A View of the Communication Process

Integrated marketing communications involves identifying the target audience and shaping a well coordinated promotional program to elicit the desired audience response.

G. Steps in Developing Effective Communication

The marketing communicator must do the following:

- Identify the target audience;
- determine the communication objectives;
- design a message;
- choose the media through which to send the message;
- select the message source; and collect feedback.

H. Setting the Total Promotion Budget

One of the hardest marketing decisions facing a company is how much to spend on promotion. How does a company decide on its promotion budget?

a. Affordable M ethod

Some companies use the affordable method: They set the promotion budget at the level they think the company can afford. Small businesses often

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use this method, reasoning that the company cannot spend more on advertising than it has.

b. Percentage-of-Sales M ethod

Other companies use the percentage-of-sales method, setting their promotion budget at a certain percentage of current or forecasted sales.

c. Competitive-Parity M ethod

Still other companies use the competitive-parity method, setting their promotion budgets to match competitors' outlays.

d. Objective-and-Task M ethod

The most logical budget-setting method is the objective-and-task method, whereby the company sets its promotion budget based on what it wants to accomplish with promotion.

I. Setting the Overall Promotion M ix

he company now must divide the total pr omotion budget among the major promotion tools—adver tising, personal selling, sales promotion, public relations, and direct marketing.

a. The Nature of Each Promotion Tool

Each promotion tool has unique characteristics and costs. M arketers must understand these characteristics in selecting their tools.

- Advertising
- Personal Selling
- Sales Promotion
- Public Relations
- Direct M arketing

b. Promotion M ix Strategies

M arketers can choose from two basic promotion mix strategies—push promotion or pull promotion. A push strategy involves "pushing" the product through distribution channels to final consumers. Using a pull strategy, the producer directs its marketing activities (primarily advertising and consumer promotion) toward final consumers to induce them to buy the product.

Lesson œ 33

ADVERTISING

A. ADVERTISING

Any paid form of non-personal presentation and promotion of ideas, goods, or services by an identified sponsor is termed as advertising.

B. The Five M ‘s of Advertising

The five M ’s are basically the different important decisions that are to be taken while designing the advertising campaign. The five M ’s of advertising are:

- M ission
- M oney
- M essage
- M edia
- M easurement

C. Advertising decisions

M arketing management must take five important decisions when developing an

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advertising program:

a. Setting advertising objectives.
b. Setting advertising budgets.
c. Developing advertising strategy.v
o a). M essage decisions.
o b). M edia decisions.
d. Evaluating advertising campaigns.

a. Setting Advertising Objectives

Setting advertising objectives is the first step in developing an advertising program. Advertising objectives can be classified by primary purpose as:

1). Informative advertising, which is used to inform consumers about a new product or feature or to build primary demand.
2). Persuasive advertising which is used to build selective demand for a brand by persuading consumers that it offers the best quality for their money.
3). Comparison advertising which is advertising that compares one brand directly or indirectly to one or more other brands.
4). Reminder advertising, which is used to keep consumers thinking about a product. This form of advertising is more important for mature products.

b. Setting the Advertising Budget

After determining its adver tising objectives, the marketer must set the advertising budget for each product and market.

c. Developing Advertising Strategy

Advertising str ategy consists of two major elements:

a) Creating advertising messages
b) Selecting advertising media.

Lesson œ 34

SALES PROM OTION

b) Selecting advertising media.

The major steps in media selection are:

i. Deciding on reach, frequency, and impact;
ii. Choosing among major media types;
iii. Selecting specific media vehicles;

iv. Deciding on media timing.

I. Deciding on Reach, Frequency, and Impact

To select media, the advertiser must decide what reach and frequency are needed to achieve advertising objectives. Reach is a measure of the percentage of people in the target market who are exposed to the ad campaign during a given period of time.

II. Choosing Among M ajor M edia Types

The media planner has to know the reach, frequency, and impact of each of the major media types. The major media types are newspapers, television, direct mail, radio, magazines, outdoor, and the Internet. Each medium has advantages and limitations.

III. Selecting Specific M edia Vehicles

The media planner now must choose the best media vehicles—specific media within each general media type.

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IV. Deciding on M edia Timing

The advertiser must also decide how to schedule the advertising over the course of a year. Suppose sales of a product peak in December and drop in M arch.

a. Evaluating Advertising

The fourth step in the advertising campaign is evaluation of the campaign. The advertising program should evaluate both the communication effects and the sales effects of advertising regularly.

b. W ays to Handle Advertising

Different companies organize in different ways to handle adver tising. In small companies, advertising might be handled by someone in the sales department. Large companies set up advertising departments whose job it is to set the advertising budget, work with the ad agency, and handle other advertising not done by the agency.

A. Sales Promotion

Sales promotion consists of short-term incentives to encourage the purchase or sale of a product or service.

a. Sales Promotion Objectives

Sales promotion objectives vary widely. Sellers may use consumer promotions to increase short term sales or to help build long-term market share.

b. M ajor Sales Promotion Tools

M any tools can be used to accomplish sales promotion objectives. Descriptions of the main consumer, trade, and business promotion tools follow.

Consumer Promotion Tools

The main consumer promotion tools include samples, coupons, cash refunds, price packs, premiums, advertising specialties, patronage rewards, point-of-purchase displays and demonstrations, and contests, sweepstakes, and games.

- Samples are offers of a trial amount of a product. Sampling is the most effective—but most expensive—
- Coupons are certificates that give buyers a saving when they purchase specified products.

- Cash refund offers (or rebates) are like coupons except that the price reduction occurs after the purchase rather than at the retail outlet.
- Price packs (also called cents-off deals) offer consumers savings off the regular price of a product.
- Premiums are goods offered either free or at low cost as an incentive to buy a product, ranging from toys included with kids' products to phone cards, compact disks.
- Advertising specialties are useful articles imprinted with an advertiser's name given as gifts to consumers.
- Patronage rewards are cash or other awards offered for the regular use of a certain company's products or services.
- Point-of-purchase (POP) promotions include displays and demonstrations that take place at the point of purchase or sale.
- Contests, sweepstakes, and games give consumers the

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chance to win something, such as cash, trips, or goods, by luck or through extra effort.

c. Developing the Sales Promotion Program

The marketer must make sever al other decisions in order to define the full size of the sales promotion program. First, the marketer must decide on the incentive . A certain minimum incentive is necessary if the promotion is to succeed; a larger incentive will produce more sales response. The marketer conditions for participation also must set . Incentives might be offered to everyone or only to select groups.

promote and distribute the The marketer must decide how to promotion length of the promotion program itself. The is also important.

d. Sales Promotion Uses and Limitations of Sales Promotion

Sales promotion tools are effective for the organizations in different aspects like they can be used to Introduce new products, making existing customers to buy more.

Lesson œ 35

PERSONAL SELLING

A. Personal selling

The direct presentation of a product to a prospective customer by a representative of the selling organization is termed as personal selling.

a. The Nature of Personal Selling

Selling is one of the oldest professions in the world. Today, most salespeople are well-educated, well-trained professionals who work to build and maintain long-term relationships with customers.

b. The Role of the Sales Force

Personal selling is the interpersonal arm of the promotion mix. Sales people represent the company to the customer and act as an intermediary linking the customer to the company.

c. Salespeople.

Salespeople act for a company and perform one of more of the following: prospecting of new business; communicating with potential and existing customers; servicing customers and information gathering.

d. Sales management.

Sales management involves the analysis, planning, implementation and control of sales force activities.

e. The characteristics of personal selling

Personal selling is having flexibility of system it provides one to one contact between the buyers and sellers. It Identify specific sales prospects the first step in the selling process is prospecting identifying qualified potential customers.

f. Builds Relationships

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The principles of personal selling as just described are transaction oriented—their aim is to help salespeople close a specific sale with a customer.

g. Basic Sales Tasks

- Order G etting
- Order Taking
- Supporting

h. The advantages of personal selling

- It can be adapted for individual customers.
- It can be focused on prospective customers.
- It results in the actual sale, while most other forms of promotion are used in moving the customer closer to the sale.

i. The disadvantages of personal selling

- Expensive per contact
- M any sales calls may be needed to generate a single sale
- Labor intensive
- It is costly to develop and operate a sales force.
- It may be d ifficult to attract high-caliber people.

j. Types of the personal selling

There are two types of personal selling:

The customers come to the salespeople.

M ostly involves retail-store selling. M ost salespeople fall into this category.

The salespeople go to the customers.

Usually represent producers or wholesaling middlemen and sell to business users. Some outside selling is relying more on telemarketing.

k. Characteristics of Professional Selling

Sales reps engage in a total selling job. Reps work closely with customers. Sales reps organize much of their own time and effort.

l. Contributions of Personal Selling to M arketing:

Today, most professional salespeople are well-educated, well-trained men and women who work to build long-term, value-producing relationships with their customers. They succeed not by taking customers in but by helping them out.

m. Changing patterns in personal selling

Traditionally, personal selling has been a face-toface, one-on-one situation. But now new trends and patterns are emerging which are:

- œ Selling Centers – Team Selling
- œ Systems Selling
- œ Global Sales Teamsv
- œ Relationship Selling
- Œ Telemarketing

n. Salesperson Attributes:

Salesperson is an individual(like: Serving, and Information gathering

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Salespeople, sales representatives, account executives, sales consultants, sales engineers, agents, district managers, marketing representatives, account development reps, etc) acting for a company

Lesson œ 36

SALES FORCE M ANAGEM ENT

A. The Role of the Sales Force

Advertising consists of one-way, non personal communication with target consumer groups.

Personal selling involves two-way, personal communication between salespeople and individual consumers.

B. The Personal Selling Process

The selling process consists of several steps that the salesperson must master. These steps are:

1). Prospecting and qualifying. In this step the salesperson identifies qualified potential customers.

2). Qualifying lead is the process of identifying good ones and screening out poor ones.

3). Reproach is the step in which the salesperson learns as much as possible about a prospective customer before making a sales call.

4) During the approach step, the salesperson should know how to meet the buyer, make him satisfied and get the r elationship off to a good start.

5) The presentation and demonstration is the step in which the salesperson tells the product “story” to the buyer, showing how the product will make

or save money for the buyer.

6) Handling objections is the step in the selling process in which the salesperson seeks out, clarifies, and overcomes customer objections regarding buying.

7) Closing occurs when the salesperson asks the customer for an order.

8). The follow-up occurs after the sale and ensures customer satisfaction.

C. M anaging the Sales Force

Sales force management is the analysis, planning, implementation, and control of sales force activities.

It includes:

1. Designing sales force strategy and structure,
2. Recruiting, selecting
3. Training
4. Compensating
5. Supervising
6. Evaluating the firm’s salespeople

Lesson œ 37

SALES FORCE M ANAGEM ENT

D. Direct M arketing

Direct marketing consists of direct communications with carefully targeted individual

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consumers to obtain an immediate response. M ass marketing is targeting broadly with standardized messages and marketing offers distributed through intermediaries.

a. W hat is Direct M arketing?
M ass marketers have typically sought to reach millions of buyers with a single product and a standard message delivered through the mass media. Under this mass-marketing model, most marketing involved one-way Communications aimed at consumers, not two-way interactions with them.

b. The New Direct M arketing M odel
Early direct marketers--catalog companies, direct mailers, and telemarketers--gathered customer names and sold goods mainly through the mail and by telephone.

c. Benefits and Growth of Direct M arketing
Direct marketing brings many benefits to both buyers and seller s. As a result, direct marketing is growing very rapidly.

i. Benefits to Buyers
Direct marketing benefits buyers in many ways:
1). It is convenient.
2). Buying is easy and private.
3). Greater product access and selection.
4). Provides a wealth of comparative information.
5). Online buying is interactive and immediate.

ii. Benefits to Sellers
Sellers benefit by:
1). Direct marketing is a powerful tool for customer relationship building.
2). Direct marketing can also be timed to reach prospects at just the right moment.
3). Reduce costs and increase speed and efficiency.
4). Online marketing offers greater flexibility.
5). The Internet is a truly global medium.

d. The Growth of Direct M arketing
Sales through traditional direct marketing channels have been growing rapidly.

e. Forms of Direct M arketing
M ajor forms of direct marketing are summarized below:

i. Face-to-Face Selling
The original and oldest form of direct marketing is the sales.

ii. Telemarketing
In telemarketing telephone is used to sell directly to consumers.

iii. Direct-M ail M arketing
Direct mail marketing involves sending an offer, announcement, reminder, or other item to a person at a particular address.

iv. Catalog M arketing
A catalog is a printed, bound piece of at least eight pages, selling multiple products, and offering a direct ordering mechanism.

v. Direct-Response Television M arketing
Direct-response television marketing takes one of two major forms.
1). Direct-response advertising occurs when marketers air

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television spots or infomercials.
2). Home shopping channels are entire programs or channels dedicated to selling goods and services.

vi. Kiosk M arketing

Some companies place information and ordering machines (called kiosks) in stores, airports, and other locations (in contrast to machines which dispense products--vending machines).

vii. Online M arketing and Electronic Commerce

Online marketing is conducted through interactive online computer systems, which link consumers with sellers electronically.

• Rapid Growth of Online M arketing

electronic marketplaces (these are “market spaces” in which sellers offer their products and services electronically, and buyers search for information, identify what they want, and place orders using a credit card or other means of electronic payment).

• The Online Consumer

The Internet user is not a pasty-faced computer nerd. As a whole, Internet users are an elite group.

• Creating Online M arketing

M arketers can conduct online marketing in three ways:
1).By creating an electronic online presence.
2). W eb sites vary in purpose and content.
3).Creating a W eb site is one thing; getting people to visit the site is another.

f. Customer Databases and Direct M arketing

There are differences between mass marketing and so-called one-to-one marketing. A customer database is an organized collection of comprehensive data about individual customers or prospects, including geographic, demographic, psychographics, and behavioral data. Database marketing is the process of building, maintaining, and using customer database and other database for the purposes of contacting and transacting with customers.

Lesson œ 38

Advertising:

Any paid form of non personal presentation and promotion of ideas, goods, or services by an identified sponsor.

Personal selling:

Personal presentation by the firm's sales force for the purpose of making sales and building customer relationships.

Sales promotion:

Short-term incentives to encourage the purchase or sale of a product or service.

Public relations:

Building good relations with the company's var ious publics by obtaining favorable publicity, building up a good corporate image, and handling or heading off

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unfavorable rumors, stories, and events.

Direct marketing:

Direct connection with carefully targeted individual consumers to both obtain an immediate response and cultivate lasting customer relationships—the use of telephone, mail, fax, e-mail, the Internet, and other tools to communicate directly with specific consumers.

Personal Communication Channels:

In personal communication channels, two or more people communicate directly with each other.

Non-personal Communication Channels:

Non personal communication channels are media that carry messages without personal contact or feedback.

Public Relations:

Public relations involves building good relations with the company's various publics by obtaining favorable publicity, building up a good corporate image, and handling or heading off unfavorable rumors, stories, and events.

Advertising:

Advertising can reach masses of geographically dispersed buyers at a low cost per exposure, and it enables the seller to repeat a message many times

Publicity:

Public information is information about a company's goods or services appearing in the mass media as a news item. Stimulation of demand for a good, service, place, idea, person, or organization by unpaid placement of commercially significant news or favorable media presentations.

Sales Promotion:

Sales promotion consists of short-term incentives to encourage the purchase or sale of a product or service.

Catalog M arketing:

Catalog marketing involves selling through catalogs mailed to a select list of customers or made available in stores

Kiosk M arketing:

Some companies place information and ordering machines (called kiosks) in stores, airports, and other location

Database marketing:

It is the process of building, maintaining, and using customer databases and other databases for the purposes of contacting and tr ansacting with customers.

Lesson œ 40

Competitive Strategies

i. Approaches to M arketing Strategy

No one strategy is best for all companies. Companies differ on how they approach the strategy planning process. Approaches to marketing strategy often pass through three stages:

1). Entrepreneurial marketing—companies started by individuals.

2). Formulated marketing—as small companies achieve success, they inevitably move toward more formulated marketing (formulated marketing strategies).

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3). Entrepreneurial marketing—companies that became lost and re-established themselves with the entrepreneurial spirit and actions that made them successful in the first place.

ii. Basic Competitive Strategies

Basic competitive positioning winning strategies include (as suggested by M ichael Porter):

1). Overall cost-leadership—cost-leadership is gained by being the lowest-cost producer in the industry.

2). Differentiation—this strategy creates competitive advantage by offering products with unique customer benefits or features not available from competitive offer ings.

3). Focus—this narr ow-focus strategy achieves competitive advantage by concentrating on narrow segments of a larger market.

iii. Competitive Positions

Firms competing in a given target market, at any point in time, differ in their objectives and resources. These firms might take four different forms:

1). M arket leader—the firm with the largest market share.

2). M arket challenger—the runner-up firm, fighting to overtake the leader.

3). M arket follower—the firm that also has runner-up status but seeks to maintain share and not rock the boat.

4). M arket niche—the fir m that serves small segments that the other firms overlook or ignore.

iv. M arket Leader Strategies

M arket leader strategies—most industries contain an acknowledged market leader.

v. M arket Challenger Strategies

These fir ms are usually the second, third, or lower in an industry. These runner-up firms can adopt one of two competitive strategies:

vi. M arket Follower Strategies

M arket follower strategies—not all runner-up companies want to challenge the market leader. The follower can learn from the leader’s successes and failures and copy or improve on the leader’s product and programs, usually with less investment.

vii. M arket Niche Strategies

M arket niche strategies—mass marketers achieve high volume, the niche achieves high mar gins.

Companies have moved thr ough four orientations over the years:

1). Product-oriented—pay little attention to either customers or competitors.

2). Customer-oriented—started to pay attention to customers.

3). Competitor-oriented—when they started to pay attention to customers, they became competitor-oriented.

4). M arket-oriented—this advanced form balances attention between customers and competition.

Lesson œ 41

BASIC COM PETITIVE STRATEGY PROFILES

i. Global Leader Strategy

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Innovator in technologies, products and markets with high global share and wide country market coverage

ii. Global Challenger Strategy 1

Frontal or encirclement attack on the leader in all markets with increasing country market coverage and high global share but less than the leader.

iii. Global Challenger Strategy 2

Flanking or bypassing world leader with increasing country market coverage and high global share but less than the leader.

iv. Global Follower Strategy

Rapid imitation of leader or challenger with moderate country market coverage and emphasis on price sensitive markets.

v. Global Niche Strategy 1

Rapid penetration of narrow market segments by selective targeting of country markets and small share of overall market.

vi. Global Niche Strategy 2

Infiltration - slow penetration of selected narrow markets with focus on selected country markets and low share of the overall market.

vii. Global Collaborator Strategy

Innovations in research and development of technologies, products and markets, set standards and shares them with other firms.

Lesson œ 42

A. E-M ARKETING

a. Internet M arketing:

Internet was used for the first time in 1982. It began to expand in 1991 with the W orld W ide W eb. Internet technologies pose managerial implications to business.

b. M ajor Forces Shaping the Digital Age:

Digitalization and Connectivity: The flow of digital information requires connectivity which is best provided by the Intranets, Extranets, and the Internet.

c. The Role of the Internet in M arketing:

It is useful for marketers in different ways like:

- It is the fastest growing communication technology.
- W ithin the first five years, 50 million people were connected.
- Capable of interactively sharing information in real time.

d. Electronic Commerce

- E-Commerce- The process of conducting business transactions over electronic networks, mostly the Internet
- E-M arketing : The process of utilizing Information Technology in the conception, distribution, promotion, and pricing of goods, services, and ideas to create exchanges that satisfy individual and organizational objectives
- E-Business: The use of Information Technology in all business tasks including production, marketing, accounting, finance, and human resources management

e. Rules of E-M arketing:

General rules of E. M arketing are:

1. Power Shift from sellers to buyers

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2. Increasing Velocity
3. Death of Distance
4. G lobal reach
5. Time compression
6. Knowledge management is key

7. M arket deconstruction
8. Intellectual capital rules

f. Buyer Benefits of E-Commerce
- Convenience
- Easy and private
- Greater product access/selection
- Access to comparative information
- Interactive and immediate

g. Seller Benefits of ECommerce:
- Relationship building
- Reduced costs
- Incr eased speed and efficiency
- Flexibility
- Global access, global reach

h. Basic-Forms

i. Virtual Business:

There are two types of the electronic commerce one is termed a s business to business and second is termed as business to business electronic commerce.

j. Key Success Factor for Internet Businesses

Success of the internet business depends upon the offer of value and customer driven products adjusting the prices according to products values, going for specific customers instead of the mass marketing, distributing the products according to customer's convenience.

k. Internet M arketing Objectives

The main objectives of the internet marketing are, to have online market share, to increase the sales level, make customers to make repeat purchases, market positioning, image building of the company and creation of awareness

Lesson œ 43

A. Social Criticisms of M arketing

M arketing receives much criticism. Some of this is justified and some is not. Social critics claim that certain marketing practices hurt individual consumers, society as a whole, and other business firms.

B. M arketing Ethics

M arketing Ethics are marketers' standards of conduct and moral values.

C. Enlightened M arketing

Enlightened marketing is a philosophy holding that a company's marketing should support the best long-run performance of the marketing system.

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M arketing

M arketing involves having the right product available in the right place at the right time and making sure that the customer is aware of the pr oduct.

Core M arketing Concepts:

1. Needs, wants, and dem ands
2. Products and Services
3. Value, satisfaction, and quality
4. Exchange, transactions, and relationships
5. M arkets

Simple M arketing System

1. Producer/ seller
2. Consumer
3. Communication
4. Product/ service
5. M oney
6. Feedback

Customer Relationship M anagement

Customer relationship management (CRM) has been defined narrowly as a customer database management activity.

The Production Concept

The production concept holds that consumers will favor products that are available and highly affordable and that management should, therefore, focus on improving production and distribution efficiency.

The Product Concept

the product concept states that consumers will favor products that offer the most quality, performance, and features, and that the organization should, therefore, devote its energy to making continuous product improvements.

The Selling Concept

The selling concept is the idea that consumers will not buy enough of the organization's products unless the organization undertakes a large scale selling and promotion effort.

The M arketing Concept

The marketing concept holds that achieving organizational goals depends on determining the needs and wants of target markets and delivering the desired satisfactions more effectively and efficiently than competitors do.

The Societal M arketing Concept

the societal marketing concept holds that the organization should determine the needs, wants, and interests of target markets.

Boston Consulting Group

Using the matrix, four types of SBUs can be identified:

a). Stars are high growth, high-share businesses or products (they need heavy investment to finance their rapid growth potential).

b). Cash Cows are low-growth, highshare businesses or products (they are established, successful, and need less investment to hold share).

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c). Question M arks are low-share business units in high-growth markets (they require a lot of cash to hold their share).

d). Dogs are low-growth, low-share businesses and products (they may generate enough cash to maintain them, but do not have much future).

I. Product/M arket Expansion Grid

The product/market expansion grid is a portfolio planning tool for identifying company growth opportunities through:

1). M arket Penetration—making more sales to present customers without changing products in any way (example, adding more stores).

2). M arket Development—a strategy for company growth by identifying a developing new markets for current company products (example, demographic and geographical markets).

3). Product Development—a strategy for company growth by offering modified or new products to current markets.

4). Diversification—a strategy for company growth by starting up or acquiring businesses outside the company's cur rent products and markets.

J. M arketing Process

The marketing process is the process of analyzing market opportunities, selecting target markets, developing the marketing mix, and managing the marketing effort.

K. M arketing Environment

The marketing environment consists of all the actors and forces outside marketing that affect the marketing management's ability to develop and maintain successful relationships with its target customers.

L. M arketing Information System and M arketing Research

In carrying out their marketing responsibilities, marketing managers need a great deal of information. "Information is power" is a legitimate statement.

M arketing research:

M arketing research is the systematic design, collection, analysis, and reporting of data and findings relevant to a specific marketing situation facing an organization.

Step 1—Problem Definition and the Research Objectives

Step 2— Developing the Research Plan

Step 3 — Implementation

Step 4— Interpretation and Reporting of Findings

M . Consumer Buying Behavior

M arkets (and those which they serve) have to be understood before marketing strategies can be developed. The consumer market buys goods and services for personal consumption. W ith respect to the individuals in the consumer market, the behavior of the consumer is influenced by the buyer's decision process.

Consumer Black Box

a) Consumers make many buying decisions every day.

b) A model of consumer behavior helps managers answer questions about what consumers buy, where they buy, how and how much they buy, when they buy, and why they buy..

c) The central question is: How do consumers respond to various marketing efforts the company might use.

d) The stimulus-response model of buyer behavior shows that marketing (made up

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of the four P's—product, price, place, and promotion) and other stimuli (such as the economic, technological, political, and cultural environments) center on the consumer's "black box" and produce certain responses.

e) M arketers must figure out what is "in" the consumer's "black box."

M arket Segmentation: "Dividing a market into distinct groups with distinct needs, characteristics, or behavior who might require separate products or marketing mixes".

Lesson œ 45

New Product development Process

1. Idea Generation

The first step in the new-product development pr ocess is idea generation, which is the systematic search for new product ideas.

2. Idea Screening

The second step in the new-product development process is idea screening which involves screening new product ideas in order to spot good ideas and drop poor ones as soon as possible.

3. Concept Development and Testing

The third stage in the process is concept development and testing. Concepts may take on several forms:

1). A product idea is an idea for a possible product that the company can see itself on the market.

2). A product concept is a detailed version of the new-product idea stated in meaningful consumer terms.

3). A product im age is the way consumers perceive an actual or potential product.

4. M arketing Strategy Development

The fourth step is marketing strategy development which involves designing an initial marketing strategy for a new product based on the pr oduct concept.

5. Business Analysis

The next step is business analysis, which is a review of the sales, costs, and profit projections for a new product to find out whether these factors satisfy the company's objectives.

6. Product Development

The sixth step is product development, which involves developing the product concept into a physical product in order to ensure that the product idea can be turned into a workable product.

7. Test M arketing

The seventh step is test marketing, which is the stage at which the product and marketing programs are introduced into more realistic marketing settings. Test marketing lets the marketer get experience with marketing the product.

8. Commercialization

The eighth and final step in the new-product development process is commercialization. This step is introducing a new product into the market.

B. Product life Cycle Strategies

It involves five distinct stages:

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a. The product developm ent stage begins when the company finds and develops a new product idea. During product development, sales are zero and the company's investment costs mount.

b. The introduction stage is a period of slow sales growth as the product is being introduced in the market. Profits are nonexistent in this stage because of heavy expenses of pr oduct introduction.

c. The growth stage is a period of rapid market acceptance and increasing profits.

d. The m aturity stage is a period of slowdown in sales growth because the product has achieved acceptance by most potential buyers. Profits level off or decline.

E. The decline stage is the period when sales fall off and profits drop.

Price

—The amount of money charged for a product or service, or the sum of the values that consumers exchange for the benefits of having or using the product or service".

Break-even point

Consumer weighs the price against the perceived value of using the product. If the price exceeds the sum of the value, consumers will not buy the product. Consumers differ in the values they assign to different product features and marketers often vary their pricing strategies for different price segments.

Break-Even Analysis

Break-even pr icing (target profit pricing) is an approach to setting price to breakeven on the cost of making and marketing products or to make the target (desired) profit It uses a break-even chart that shows the total cost and total revenue at different levels of sales volume.

Retailing and W holesaling

Retailing and wholesaling consist of many organizations bringing goods and services from the point of production to the point of use. Retailing by definition includes all the activities involved in selling goods and services directly to final consumer s for their personal, non-business use.

Promotion

M odern marketing calls for more than just developing a good product, pricing it attractively, and making it available to target customers.

Advertising

A paid form of non-personal communication about an organization and/or its products to a target audience through a mass medium.

Personal Selling

A paid form of non-personal communication about an organization and/or its products to a target audience through a mass medium.

Sales Promotion

Demand-stimulating activity designed to supplement advertising and facilitate personal selling.

Public Relations

A planned communication effort by an organization to contribute to generally favorable attitudes and opinions toward an organization and its products.

Direct M arketing

Direct connections with carefully targeted individual consumers to obtain an

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immediate response and cultivate lasting customer relationship

Global M arket Place

The world is shrinking rapidly with the advent of faster communication, transportation, and financial flows. In the twenty-first century, fir ms can no longer afford to pay attention only to their domestic market, no matter how large it is. M any industries are global industries, and those firms that operate globally achieve lower costs and higher brand awareness.

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MGT301 Principles of Marketing

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Mgt301 Current and Past Solved Subjective

Q no. 1: Direct market selling benefit.

Direct marketing means selling products by dealing directly with consumers rather than through intermediaries.

Traditional methods include mail order, direct-mail selling, cold calling, telephone selling, and door-to-door calling. More recently telemarketing, direct radio selling, magazine and TV advertising, and on-line computer shopping have been developed.

The main **advantages/ benefits** of selling direct are that there is no need to share profit margins and the producer has complete control over the sales process. Products are not sold alongside those of competitors either.

Q no. 2: How can company attack on competitors?

Q no. 3: Objective of internet Marketing

There are the following objectives of internet marketing

Increasing direct revenue – One of the basic objectives of Internet Marketing is to increase the direct revenue of the company by focuses direct audience.
Building a brand image – is a long term objective to make an image of brand into the mind of audience.
Communicate company's message – about itself, its products and its services
Performing research – to identify the nature of marketing basis on demographic, preferences and need of existing and future customers.
Advertising – the products and services to the audience of virtual world.

Q no. 4: One question was related to mass marketing and new marketing concept?

Mass marketing:

An attempt to appeal to an entire market with one basic marketing utilizing mass distribution and mass media. Also called undifferentiated marketing.

New marketing:

New marketing concept is a philosophy. It makes the customer, and the satisfaction of his or her needs, the focal point of all business activities. It is driven by senior managers, passionate about joy their customers.

Q no. 5: One Question was on Cash cow, star and Question related?

a). Stars are high-growth, high-share businesses or products (they need heavy investment to finance their rapid growth potential).

b). Cash Cows are low-growth, high-share businesses or products (they are established, successful, and need less investment to hold share).

c). Question Marks are low-share business units in high-growth markets (they require a lot of cash to hold their share).

d). Dogs are low-growth, low-share businesses and products (they may generate enough cash to maintain them, but do not have much future).

Q no. 6: One question was related to public relation and publicity?

Public relations include ongoing activities to ensure the overall company has a strong public image. Public relations activities include helping the public to understand the company and its products. Often, public relations are conducted through the media that is,

newspapers, television, magazines, etc. As noted above, public relations are often considered as one of the primary activities included in promotions.

Publicity is mention in the media. Organizations usually have little control over the message in the media, at least, not as they do in advertising. Regarding publicity, reporters and writers decide what will be said.

1. What are the various tools of Public Relations? Name at least five.

1. PRINT MEDIA
2. PRESS RELEASE
3. PHOTOGRAPHS
4. BROCHURE
5. POSTER AND CALENDAR
6. WRITTEN SPEECH
7. INTERNAL NEWSLETTERS AND PUBLICATIONS
8. EVENT AND PRESS SUPPOR
9. CONFERENCES AND SEMINARS
10. NTERNET
11. E-MAIL
12. AUDIO AND VISUAL
13. NEWS AND PUBLICITY

2. Name any five elements of the communication process.

There are the following elements of communication process.

1. **Source.**
2. **encoding**
3. **Message.**
4. **channel**
5. **decoding**
6. **receiver**
7. **feedback**

3. For what purpose public policy principles can be used? List down the key principles for public policy towards marketing.

4. How BCG matrix is beneficial for companies? Explain briefly.

The origin of the Boston Matrix lies with the Boston Consulting Group in the early 1970s. It was devised as a clear and simple method for helping corporations decide which parts of their business they should allocate their available cash to. Following the credit crunch, this is newly important in some sectors because of the limited availability of credit.

However, the Boston Matrix is also a good tool for thinking about where to apply other finite resources: people, time and equipment.

Benefits:

- It is simple and easy to understand.
- It helps to quick and simply screen opportunities open to you, and help you think about how you can make the most of them.
- It is used to identify how corporate cash resources can best be used to maximize a company's future growth and profitability.

5. What are Web Communities? Also mention its uses.

A **web community** is a web site (or group of web sites) that is a virtual community. A web community may take the form of a social network service, an Internet forum, a group of blogs, or another kind of social software web application.

6. MR. X wants to start a business that would sell books online directly to the customers. What type of distribution channel would you recommend that MR.X should adopt.

One of the importance's of any website or business is to bring your products or services to the right people and to reach the target audience. There are a number of different distribution channels available on the Internet which could be utilized efficiently to the benefits of your website.
Distribution channels:

I would suggest to the following channels.
1. Social networks (Facebook, MySpace, Friendster)
The current trend of the Internet is social interactions, and the trend is here to stay for a while. Multi-million corporations are in the hunt to acquire popular social networking sites because they understand the potential and the impact social networking has on Internet users. Treating social networks such as Facebook and MySpaceas your distribution channels mean reaching to more people and increasing awareness of your website.
2. Social bookmarks (del.icio.us, Stumble Upon, Digg)
Social bookmarks enable users to share, organise and store URLs of websites they like and/or find useful. And because social bookmarks are created by users who understand the content of the website they bookmark, it makes it easier for other users to find stuff related to an interest.
3. Social media (YouTube, Flickr, Podcasts)
As with social networks and social bookmarks, social media has become increasingly

popular among Internet users for the same reasons. Using a social media like YouTube or Flickr as a medium to promote your business could bring a lot of traffics to your website. In an official Press Release about an agreement between CBS and YouTube, it was said that "Today's agreement demonstrates that YouTube has become a revenue-generating distribution channel for major networks and other media companies. By partnering with YouTube, media companies can now have a two-way dialogue with viewers who can provide feedback about what they find entertaining."

4. Blogs

Blogs are popular because they provide up-to-date information and enables readers to engage in discussions via comments. By using blog as a distribution channel, businesses can build a loyal readership and interact with their customer base.

5. Widgets and gadgets (Yahoo! widgets, iGoogle gadgets, Facebook APIs)

Widgets and gadgets deliver dynamic and updated content to the users at any time. They leverage the website's content to create new opportunities, extend users and strengthen the presence of your brand. And for that very reason, widgets and gadgets have proven to be a very successful method of distribution.

6. Browser extensions

Browser extensions such as cutomised search engine, add-ons, and toolbars provide users with an easy access to your website and the functionalities that it offers instantly from their favourite browser. It is an effective distribution channel for both the business and end users as it maximizes access and visibility for both parties.

7. Search engines

According to a survey conducted in 1998 by Georgia Institute of Technology, 85% of users found websites through search engines (Tri-Media). While many believe that "if you build it, they will come", the truth is, they can only come when they know about it. Therefore, the power of search engine optimisation (SEO) and search engine marketing (SEM) should be used to drive targeted and qualified traffic to your website and improve visibility of your business.

7. How will you regard a company as one having "Global Vision"?

8. Differentiate between exploratory and descriptive research?

The basic difference between exploratory and descriptive research is the research design.

Exploratory research is a type of research done when the problem has not been clearly defined. It is used to help determine the best way to research, collect data, and subject selection.

Descriptive research, used often in social sciences and market research, is the study of how a particular group, person, or thing behaves. Observations are noted without influence being applied.

OR

The basic difference between exploratory and descriptive research is the research design. Exploratory research follows a format that is less structured and more flexible than descriptive research. This approach works well when the marketer doesn't have an understanding of the topic or the topic is new and it is hard to pinpoint the research direction. The downside, however, is that results may not be as useful in aiding a marketing decision. So why use this method? In addition to offering the marketer basic information on a topic, exploratory research may also provide direction for a more formal research effort. For instance, exploratory research may indicate who the key decision makers are in a particular market thus enabling a more structured descriptive study targeted to this group.

MGT 301 SHORT QUESTIONS

Question: What is the difference between mass marketing and database marketing?
Answer: In the data base marketing we have all the relevant information of the target market and we have made the records of the relevant information in the form of the data bases. Mass marketing means the marketing at the large scale marketing in which we do not have the data base form of record of our customer because our target market is very large and the products are produced by the general common character.

Question: What is the role of broker and agent in the marketing system?
Answer: Main function is to facilitate buying and selling, for which they earn a commission on the selling price. Generally, specialize by product line or customer types. BROKERS: Chief function is bringing buyers and sellers together and assisting in negotiation. They are paid by the party who hired them, and do not carry inventory, get involved in financing, or assume risk. Examples: food brokers, real estate brokers, insurance brokers, and security brokers. AGENTS: Represent either buyers or sellers on a more permanent basis than brokers do.

Question: What is mean by Competitive Advantage? How we will design a Competitive Intelligence System?
Answer: To be successful, a company must consider its competitors as well as its actual and potential customers. In the process of performing a competitor analysis, the company carefully analyzes and gathers information on competitors' strategies and programs. A competitive intelligence system helps the company acquire and manage

competitive information. The company must then choose a competitive marketing strategy of its own. The strategy chosen depends on the company's industry position and its objectives, opportunities, and resources. Some of these are time-tested and some are relatively new .The advantage of our firm with comparison to our competitors which may be in term of low price, high quality,
Easy availability of our product, good will, convenience in use etc is included.

Question: Define business markets?
Answer: The business market includes firms that buy goods and services in order to produce products and services to sell to others.

Question: Why do we study consumer behavior?
Answer: Consumers determine the sales and profits of a firm by their purchase decisions. Basic objective of studying consumer behavior is that the firm needs to know how, when, why, and where consumers make purchase decision/ all these are important questions, which are to be known to the companies so that they can design and implement marketing strategies to satisfy the customers.

Question: How does an organization create a customer?
Answer: Organizations can create the customers by identifying customer's needs, designing goods and services that meet those needs then communicating information about those goods and services to prospective buyers. Providing the necessary services and follow-up to ensure customer satisfaction after the purchase.

Question: Briefly define customer and consumer?
Answer: A Customer- purchases or pays for products or services A Consumer- is ultimate user of the product or service, the consumer may not have paid for the product or service.

Question: Which factors make the company's macro environment?
Answer: 1) Demographic 2) Economic 3) Natural 4) Technological 5) Political 6) Cultural

Question: Which are the strategies that can be pursued for each Strategic Business Unit (SBU)?
Answer: a) The company can harvest the SBU b) The company can divest the SBU c) The company can invest enough just to hold at the current level

Question: What are the key principles for public policy towards marketing?
Answer: a) Full consumer and producer freedom b) Potential harm should be eliminated c) Producer should meet the basic needs of the consumer

Question: What is meant by Market?

Answer: Markets The concepts of exchange and relationships lead to the concept of a market. A market is the set of actual and potential buyers of a product. Originally a market was a place where buyers and sellers gathered to exchange goods (such as a village square). Economists use the term to designate a collection of buyers and sellers who transact in a particular product class (as in the housing market) Marketers see buyers as constituting a market and sellers constituting an industry.

Question: Explain Business portfolio?
Answer: The business portfolio is a collection of businesses and products that make up the company. In order to design the business portfolio, the business must: 1) Analyze its current business portfolio and decide which business should receive more, less or no investment. 2) Develop growth strategies for adding new products or business to the portfolio.

Question: Who are Laggards?
Answer: The people who are suspicious to change and adopt only after the product has been accepted by the majority

Question: Why it is said that customer is always right even he is wrong/customer is the king of market?
Answer: 'Putting the customer at the heart of your business planning' sounds simple doesn't it? The truth is, this principle is the cleverest, and also the most startlingly logical strategy for keeping your business at the forefront of its market. The customer is king. This statement is true of every aspect of business. It is the job of everyone in business to please customers - or to enable someone else to please the customer. Without customers, there is no sale. Without satisfied customers, there is no profit. Without delighted customers, there is no repeat business.

Question: What are the objectives of internet marketing?
Answer: Internet is very important tool in marketing .It is useful for marketers in different ways like: Internet is a new tool to reach consumers. Internet is also being used as a source to reach and to communicate to customers.

Question: What are the steps involved in developing an effective communication?
Answer: Identify the target audience Determine the communication objectives Design a message Choose the media through which to send the message Select the message source Collect the feed back

Question: Briefly define the black box?
Answer: 1. the buyer’s characteristics influence how he/she perceive and react to stimuli.
2. The buyer’s decision process itself affects the buyer’s behavior

Question: What is meant by reach and frequency?
Answer: Reach is a measure of the percentage of people in the target market who are exposed to the ad campaign during a given period of time. For example, the advertiser might try to reach 70 percent of the target market during the first three months of the campaign. Frequency is a measure of how many times the average person in the target market is exposed to the message. For example, the advertiser might want an average exposure frequency of three.

Question: Why we study marketing?
Answer: Major reason to study marketing is: • Marketing plays an important role in society • It is Vital to business • Marketing offers outstanding career opportunities • Marketing affects your life every day

Question: Which important decisions we should take while developing an advertising program for the product?
Answer: 1 .Setting advertising objectives 2. Setting advertising budgets 3. Developing advertising strategy 4. Message decisions 5. Media decisions 6.
Evaluating advertising campaigns

Question: What 4 Cs will be used for the development of the marketing strategies of 21st centaury?
Answer: a) Care b) Choice c) Community d) Challenge

Question: What do you understand by the term micro marketing environment?
Answer: Micro marketing is the practice of tailoring products and marketing programs to suit the tastes of specific individuals and locations. Micro marketing includes local marketing (Local marketing involves tailoring brands and promotions to the needs and wants of local customer groups—cities, neighborhoods, and even specific stores.
Question: In buyer decision process, what are the sources from which buyer can collect information?
Answer: These include personal sources (family, friends, neighbors, acquaintances), commercial sources (advertising, salespeople, dealers, packaging, displays, Web sites), public sources (mass media, consumer-rating organizations), and experiential sources (handling, examining, using the product). The relative influence of these information sources varies with the product and the buyer.

Question: Define business markets?
Answer: The business market includes firms that buy goods and services in order to produce products and services to sell to others.

Question: Write down any five reasons of “why would a producer use wholesalers rather than selling directly to consumers or retailers”?
Answer: Quite simply, wholesalers are often better at performing one or more of the following channel functions: • Selling and promoting • Buying and assortment building. • Bulk-breaking • Warehousing • Transportation • Financing • Risk bearing •

Market information • Management services and advice

Question: List down the chief factors that can be used for segmenting international markets?
Answer: Geographical location Economic factors Political and legal factors Cultural factors

Question: How would you define relationship marketing?
Answer: Establishing a long term continuous relationship with the customers initiated and maintained by firm.

Question: What are the main advantages of having brand quality?
Answer: 1) High consumer awareness 2) Easier to launch brand extensions because of high brand credibility 3) A good defense against fair price competition. 4) Customer equity tends to aid marketing planning in assuring loyal customer life time values.

Question: What is the difference between advertising and publicity?
Answer: An old age says: Advertising you pay for, publicity you pray for. That's because publicity has at least ten times the credibility of advertising. Advertising is a content you pay to present. Publicity refers to free content about you that appears in the media - what others say about you. Publicity can result when an article you write is published, or when information you give to an editor convinces him/her to feature a story about you. Over time, these stories help to create a favorable impression of your product or services.

Question: Define the market / product expansion grid?
Answer: 1). Market Penetration 2). Market Development 3). Product Development 4). Diversification

Question: Why we use sales promotion tools? Answer: These can be used to introduce new products, Get existing customers to buy
more, Attract new customers, and Combat competition, Maintain sales in off season, Increase retail inventories, Tie in advertising and personal selling, Enhance personal selling efforts.

Question: Designing a Competitive Intelligence System
Answer: The Company must design a broad competitive strategy by which to gain competitive advantage. No one strategy, however, is best for all companies. The competitive intelligence system does the following: • Identifies the vital types of competitive information and the best sources of this information. • The system continuously collects information from the field and from published data. • The system checks the information for validity and reliability, it, and organizes it in an appropriate way. • It sends key information to relevant decision makers and responds to inquiries from managers about competitors.

Question: Describe the main reasons for the popularity of markup pricing?
Answer: 1. Sellers are more certain about cost than about demand. 2. When all firms in the industry use this pricing method, prices tend to be similar and price competition is thus minimized. 3. Many people feel that cost-plus pricing is fairer to both buyers and sellers.

Question: How does an organization create a customer?
Answer: Organizations can create the customers by identifying customer's needs, designing goods and services that meet those needs then communicating information about those goods and services to prospective buyers .Providing the necessary services and follow - up to ensure customer satisfaction after the purchase.

Question: What steps we should take to promote the company's products?
Answer: Advertising the Product Selection of Media Cost benefit analysis of different media advertising on the TV, radio and Cable network Distribution of pamphlets Fixing sign boards on famous locations advertising on renowned newspaper

Question: List down the 5 M's of Advertising?
Answer: Mission Money Message Media Measurement

Question: What are the five important decisions which must take into consideration by the marketing management, while developing an advertising program?
Answer: Setting advertising objectives setting advertising budgets developing advertising strategy Message decision and media decision evaluating advertising campaign

Question: What are the primary criticisms of marketing functions with respect to the impact on the individual consumer?
Answer: High price Deceptive practices high pressure selling Shoddy or unsafe products Planned obsolescence Poor services to disadvantaged consumer

Question: What is meant by sequential product development?
Answer: A new product development approach in which one company's department works to complete its stages of the process before passing the new product along to the next department and stage
Question: What steps are involved in the development of a sale promotion program?
Answer: Size of the incentive Conditions for participation Promote and distribute the promotion program Length of the promotion Evaluation

Question: Why companies use competitive-parity method?
Answer: Companies use the competitive-parity method for setting their promotion budgets to match competitors' outlays. They monitor competitors' advertising or get industry promotion spending estimates from publications or trade associations, and then set their budgets based on the industry average.

Question: What are the uses of marketing intermediaries?
Answer: The use of intermediaries results from their greater efficiency in making goods available to target markets. Through their contacts, experience, specialization, and scale of operation, intermediaries usually offer the firm more than it can achieve on its own.

Question: Describe the ways of using database marketing?
Answer: 1) Identifying prospects 2) Deciding which customers should receive a particular offer 3) Depending customer loyalty 4) Reactivating customer purchases

Question: What do we mean by franchise organization?
Answer: By franchise organization we mean a contractual vertical marketing system in which a channel member called a franchiser links several stages in the production-distribution process.

Question: What are the possible benefits of segmentation?
Answer: Benefits of Segmentation Identification of the target market. More Customer focused approach Needs of customers can be better satisfied Greater Profitability for the organization Increase in market share Best use of firm's resources

Question: What Image comes to mind when you hear the word "Marketing"?
Answer: Marketing is a process that revolves around the customers and there requirements. It is a process of creating value in the form of goods, services, or ideas that can improve the customer's life.

Question: What is TQM? Define any three characteristics of Quality.
Answer: TQM is an approach in which all the company's people are involved in constantly improving the quality of the products, services, and marketing processes. a) Quality can be defined as 'freedom from defects" b) Quality is defined in terms of consumer satisfaction c) Quality has direct impact on product and service performance.

Question: Briefly define the qualities of good brand name?
Answer: a) It should suggest something about the product. b) It should be easy to pronounce. c) It should be distinctive d) It should be capable of registration and legal protection.

Question: What are the basic goals of CRM (Customer relationship marketing)? Answer: The idea of CRM is that it helps business use technology to gain insight into the behavior of customer and values of those customers. If it works as hoped, a business can: - Provide better customer services - Make call centers more efficient

Question: What is meant by De-marketing?
Answer: Marketing to reduce demand temporarily or permanently; the aim is not to

destroy demand but only to reduce or shift it.

Question: How can a manger develop a research plan?
Answer: Developing the research plan involves the following steps: 1) Determining specific information needs 2) Gathering secondary information 3) Planning primary data collection

Question: Write down some important uses of data-base market?
Answer: • Match profiles to cross-sell other products to customers • Modify marketing messages based on customers profiles • Reach out to customers to reinforce the purchase decision • Find new customers • Gain insight into who is purchasing the product • Improve customer services

Question: Describe three major roles of public relations?
Answer: o Evaluate public attitude o Identify issues of public concern o Executes programs to gain public acceptance

Question: List out the steps in developing effective communication
Answer: Identify the target audience Determine the communication objectives
Design a message Choose the media through which to send the message
Select the message source collect the feed back

Question: Write down the four common methods used to set the total budget for advertising?
Answer: the affordable method Percentage of sale method Competitive parity method Objective and task method

Question: What are the characteristics of promotional tool?
Answer: advertising Personal selling Sales promotion Public relations direct marketing

Question: What are the five important decisions which must take into consideration by the marketing management, while developing an advertising program?
Answer: setting advertising objectives setting advertising budgets Developing advertising strategy Message decision and media decision Evaluating advertising campaign

Question: What are some specific factors for advertising budget?
Answer: Stage in product life cycle (New product typically needs large advertising budget) Market share (High market share brands usually need more advertising) Competition and culture (More advertising is needed in a market with many more competitions and their advertising culture) Product differentiation

Question: What are the limitations of sales promotion?

Answer: • It can not reverse declining sales trend. • May encourage competitive relations • Can not over come inferior product • May hurt profit
Question: What does sales people act or perform for the company?
Answer: prospecting of new business communicating with potential and existing customer Servicing customer and information gathering Building Goodwill Delivering product and taking orders Executive customers and creative selling

Question: Describe two major steps which must be taken in order to deal effectively with competitors and their strategies?
Answer: 1. The first step is competitor analysis where the company goes through the process of identifying, assembling, and selecting key competitor. 2. Second step is competitive marketing strategies where the company strongly positions itself against competitors and fins a way to give itself the greatest possible competitor advantage.

Question: What steps/components are suggested by George Yip for the total global strategy?
Answer: I. Development of the core strategy which is the basis of the firm's competitive advantage. II. Internationalization of the strategy through expansion of activities III. Step three integrates the strategy across countries

Question: Describe role of internet in marketing?
Answer: • It is fastest growing communication technology • With in first five years,50 million people were connected • Capable of interactively sharing information in the real time

Question: What are the rules of E-Marketing?
Answer: Power shift from sellers to buyers Global search Death of distance Knowledge management is the key Intellectual capital rules Market deconstruction Time compression

Question: Write down the traditional buyer's rights?
Answer: • Right not to purchase a product that is offered for sale. • Right to except the product to be safe. • Right to except the product to perform as claimed. • Right to be well informed about important aspects of the product • Right to be protected against questionable product. • Right to influence product and marketing practices in ways that will improve

Question: Write down the principles of enlightened marketing?
Answer: Consumer oriented marketing Value marketing Innovative marketing Sense of mission marketing societal marketing

Question: What are the primary criticisms of marketing functions with respect to the impact on the individual consumer? Answer: High price Deceptive practices High pressure selling Shoddy

or unsafe products Planned obsolescence Poor services to disadvantaged consumer

Question: What are the cores of marketing concepts?
Answer: Needs, wants, and demand Products and services Value, satisfaction, and quality Exchange, transaction, and relationship Market
Question: What are five alternatives concepts under which organization conduct their marketing activities?
Answer: The production Product Selling Marketing Societal marketing concepts

Question: Describe two parts of black box?
Answer: 1. The buyer's characteristics influence how he/she perceive and react to stimuli. 2. the buyer's decision process itself affects the buyer's behavior.

Question: What is SWOT Analysis?
Answer: SWOT analysis is a tool for auditing an organization and its environment. It is the first stage of planning and helps marketers to focus on key issues. SWOT stands for strengths, weaknesses, opportunities, and threats

Question: What are the reasons of studying Marketing?
Answer: Marketing is part of all of our lives and touches us in some way every day. To be successful each company that deals with customers on a daily basis must not only be customer-driven, but customer-obsessed. The best way to achieve this objective is to develop a sound marketing function within the organization. Major reason to study marketing is: • Marketing plays an important role in society • It is Vital to business • Marketing offers outstanding career opportunities • Marketing effects your life every day

Question: Briefly define the stages involved in adoption process?
Answer: 1. Awareness. In this stage the consumer is aware of the new product but lacks further information about it. 2. Interest. The consumer is motivated to seek information about the new product. 3. Evaluation. The consumer determines whether or not to try the new product. 4. Trial. The consumer tries the new product on a small scale to test its efficacy in meeting his or her needs. Trial can be imagined use of the product in some cases. 5. Adoption. The consumer decides to make use of the product on a regular basis.

Question: Define Brand?
Answer: Brand: A brand is a name, sign, symbol, or design, or a combination of these that identifies the maker or seller of a product or service.

Question: Write down major uses of the marketing research in the organizations, any five?
Answer: Major uses of the marketing research in the organizations are as following: 1. Measurement of market potential 2. Analysis of market share 3. Determination of market characteristics 4. Sales analysis 5. Product testing 6. Forecasting 7. Studies of

business trends 8. Studies of competitors' products.

Question: What is Demographic Segmentation? Answer: Demographic segmentation divides the market into groups based on
variables such as age, gender, family size, family life cycle, income, occupation, education, religion, race, and nationality.

Question: What is mission statement?
Answer: Mission statement: A mission statement is a statement of the organization's purposes—what it wants to accomplish in the larger environment
Question: List down the stages of buyers' decision process?
Answer: 1. Need recognition 2. Information search 3. Evaluation of Alternatives 4. Purchase decision 5. Post purchase behavior

Question: Who are laggards and early adopters in adoption of innovations?
Answer: Laggards: This group is suspicious of change and adopts only after the product is no longer considered an innovation. Early Adopters: This group serves as opinion leaders to the rest of the market.

Question: Desirable five qualities of a good brand name.
Answer: 1. It should suggest something about the product's benefits and qualities 2. It should be easy to pronounce, recognize, and remember. 3. It should be distinctive 4. It should translate easily into foreign languages 5. It should be capable of registration and legal protection. Once chosen, the brand name must be protected.

Question: Write down major uses of the marketing research in the organizations, any five?
Answer: Major uses of the marketing research in the organizations are as following: 1. Measurement of market potential 2. Analysis of market share 3. Determination of market characteristics 4. Sales analysis 5. Product testing 6. Forecasting 7. Studies of business trends 8. Studies of competitors' products.

Question: From which sources idea of a new product can be generated?
Answer: • Appoint a respected senior person to be the company's idea manager. • Create a multidisciplinary idea management committee consisting of people from R&D, engineering, purchasing, operations, finance, and sales and marketing to meet regularly and evaluate proposed new-product and service ideas. • Set up a toll-free number for anyone who wants to send a new idea to the idea manager. • Encourage all company stakeholders—employees, suppliers, distributors, dealers— to send their ideas to the idea manager. • Set up formal recognition programs to reward those who contribute the best new ideas.

Question: What do you understand by the term diversification?
Answer: Diversification—a strategy for company growth by starting up or acquiring businesses outside the company's current products and markets.
Diversification means moving into totally different lines of business perhaps entirely

unfamiliar products, markets, or even levels in the production-marketing system.

Question: Define public; also explain major types of public?
Answer: A public is any group that has an actual or potential interest in or impact on an organization's ability to achieve its objectives. A company should prepare a marketing plan for all of their major publics and they include: 1. financial publics--influence the company's ability to obtain funds. 2. Media publics--carry news, features, and editorial opinion. 3. Government publics--take developments into account. 4. Citizen-action publics--a company's decisions are often questioned by consumer organizations. 5. Local publics--includes neighborhood residents and community organizations. 6. General publics--a company must be concerned about the general public's attitude toward its products and services. 7. Internal publics--workers, managers, volunteers, and the board of directors.

Question: What image come to mind when you hear the word Marketing
Answer: Some people think of advertisements or brochures, while others think of public relations. The truth is, all of these—and many more things—make up the field of marketing. The Knowledge Exchange Business Encyclopedia defines marketing as "planning and executing the strategy involved in moving a good or service from producer to consumer." In simplified terms, marketers and others help move goods and services through the creation and production process; at that point, marketers help move the goods and services to consumers. But the connection goes even further: Marketing can have a significant impact on all areas of the business and vice versa.

Question: What is meant by Price .What factors should be considered while setting price.
Answer: All profit and nonprofit organizations must set prices on their products and services. Price goes by many names (rent, tuition, fee, fare, rate, interest, toll, premium, et cetera). Price is the amount of money charged for a product or service or the sum of the values that consumers exchange for the benefits of having or using the product or service. A company's pricing decisions are affected by both internal company factors and external environmental factors a) Internal Factors Affecting Pricing Decision Internal factors affecting pricing include the company's marketing objectives, marketing mix strategy, costs, and organizational considerations. b) External Factors Affecting Pricing Decisions External factors that affect pricing decisions include the nature of the market and demand, competition, and other environmental elements.

Question: Why to conduct business research
Answer: Marketing Research is a Systematic & objective process of designing, gathering, analyzing & reporting information that is used to solve a specific problem. It Provides information for aid in making business related decisions, to Identify opportunities and generate & refine actions. It is important for the mangers for many decisions like: • Helps reduce risk inherent in decision-making • Provides an important link to customers • Allows implementation of the business concept • Enables managers to identify & understand stakeholders wants & needs and to

develop appropriate strategies to meet these needs

Question: Write down the Porter's 5 Forces Model of Competition.
Answer: • Threat of New Entrants Ratio of new entrants in the industry greater the ratio greater will be intensity of competition. • Bargaining Power of Buyers: When completion is intense and number of manufacturer is greater the buyer have more options for product switching over this will increase the buying power of buyer • Threat of Substitute: As obvious from the term greater the threat of new entrants will result in greater higher completion that in tern will result in increase in the number of substitutes • Bargaining Power of Suppliers: Greater number of the supplier will provide the stronger buying power to the manufacturer/customer and vice versa • Rivalry Among Competing Firms in Industry: Larger number of the manufacturers and greater number of product variety increases the rivalry among the competitors, which demands for more quality and customer satisfy9ng products in order to meet the competition.

Question: What is the classification of Advertising Objectives by primary purpose
Answer: 1). Informative advertising, which is used to inform consumers about a new product 2). Persuasive advertising which is used to build selective demand for a brand by persuading consumers that it offers the best quality for their money. 3). Comparison advertising which is advertising that compares one brand directly or indirectly to one or more other brands. 4). Reminder advertising, which is used to keep consumers thinking about a product. This form of advertising is more important for mature products.

Question: What is the classification of consumer products
Answer: • Convenience products the customer usually buys frequently, immediately, and with a minimum of comparison and buying effort. Examples include soap, candy, newspapers, and fast food. • Comparison products are less frequently purchased products and services that customers compare carefully on suitability, quality, price, and style. Examples include furniture, clothing, used cars, major appliances, and hotel and motel services. • Shopping products marketers usually distribute their products through fewer outlets but provide deeper sales support to help customers in their comparison efforts. • Specialty products are consumer products and services with unique characteristics for which a significant group of buyers is willing to make a special purchase effort. Examples include specific brands and types of cars, designer clothes, and the services of medical or legal specialists.
• Unsought products are consumer products that the consumer either does not know about or knows about but does not normally think of buying. Classic examples of known but unsought products and services are life insurance and blood donations to the Red Cross.
1. B2C (business-to-consumer) e-commerce: The online selling of goods and services to final consumers.

2. Benchmarking: The process of comparing the company's products and processes to those of competitors or leading firms in other industries to find ways to improve

quality and performance

3. Business buyer behavior: The buying behavior of the organizations that buy goods and services for use in the production of other products and services or for the purpose of reselling or renting them to others at a profit

4. Business buying process: The decision process by which business buyers determine which products and services their organizations need to purchase, and then find, evaluate, and choose among alternative suppliers and brands

5. Buzz marketing: Cultivating opinion leaders and getting them to spread information about a product or service to others in their communities

6. Catalog marketing: Direct marketing through print, video, or electronic catalogs that are mailed to select customers, made available in stores, or presented online
7. Click-and-mortar companies: Traditional brick-and-mortar companies that have added e-marketing to their operations

8. Cognitive dissonance: Buyer discomfort caused by post purchase conflict
9. Concentrated (niche) marketing: A market- coverage strategy in which a firm goes after a large share of one or a few segments or niches

10. Contractual VMS: A vertical marketing system in which independent firms at different levels of production and distribution join together through contracts to obtain more economies or sales impact than they could achieve alone

11. Corporate VMS: A vertical marketing system that combines successive stages of production and distribution under single ownership-channel leadership is established through common ownership

12. Customer relationship management (CRM): The overall process of building and maintaining profitable customer relationships by delivering superior customer value and satisfaction

13. Cost-plus pricing: Adding a standard markup to the cost of the product

14. Differentiated (segmented) marketing: A market-coverage strategy in which a firm decides to target several market segments and designs separate offers for each

15. Direct-response television marketing: Direct marketing via television, including direct-response television advertising or infomercials and home shopping channels

16. Dissonance-reducing buying behavior: Consumer buying behavior in situations characterized by high involvement but few perceived differences among brands.

17. Diversification: A strategy for company growth through starting up or acquiring

businesses outside the company's current

18. Downsizing: Reducing the business portfolio by eliminating products or business units that are not profitable or that no longer fit the company's overall strategy

19. E-marketing: The marketing sides of ecommerce- company efforts to communicate about, promotes, and sell products and services over the Internet.

20. Embargo: A ban on the import of a certain product.

21. Experience curve (learning curve) : The drop in the average per-unit production cost that comes with accumulated production experience

22. Exclusive distribution: Giving a limited number of dealers the exclusive right to distribute the company's products in their territories.

23. Experimental research: The gathering of primary data by selecting matched groups of subjects, giving them different treatments, controlling related factors, and checking for differences in group responses

24. FOB-origin pricing: A geographical pricing strategy in which goods are placed free on board a carrier; the customer pays the freight from the factory to the destination.

25. Franchise: A contractual association between a manufacturer, wholesaler, or service organization (a franchiser) and independent businesspeople (franchisees) who buy the right to own and operate one or more units in the franchise system

26. Freight-absorption pricing: A geographical pricing strategy in which the seller absorbs all or part of the freight charges in order to get the desired business.

27. Gatekeepers: People in the organization's buying center that control the flow of information to others.

28. Generation X: The 45 million people born between 1965 and 1976 in the "Birth dearth" following the baby boom.

29. Global firm: A firm that, by operating in more than one country, gains R&D, production, marketing, and financial advantages in its costs and reputation that are not available to purely domestic competitors.

30. Growth-share matrix: A portfolio-planning method that evaluates a company's strategic business units in terms of their market growth rate and relative market share. SBUs are classified as stars, cash cows, question marks, or dogs.

31. Innovative marketing: A principle of enlightened marketing that requires that a company seek real product and marketing improvements.

32. Integrated marketing communications (IMC): The concept under which a company carefully integrates and coordinates its many communications channels to deliver a clear, consistent, and compelling message about the organization and its products.

33. Integrated logistics management: The logistics concept that emphasizes teamwork, both inside the company and among all the marketing channel organizations, to maximize the performance of the entire distribution system.

34. Integrated direct marketing: Direct marketing campaigns that use multiple vehicles and multiple stages to improve response rates and profits.

35. Interactive marketing: Marketing by a service firm that recognizes that perceived service quality depends heavily on the quality of buyer-seller interaction.

36. Internet: A vast public web of computer networks, which connects users of all types all around the world to each other and to an amazingly large information repository.

37. Management contracting: A joint venture in which the domestic firm supplies the management know-how to a foreign company that supplies the capital; the domestic firm exports management services rather than products.

38. Marketing communications mix (promotion mix): The specific mix of advertising, personal selling, sales promotion, and public relations a company uses.

39. Marketing information system (MIS): People, equipment, and procedures to gather, sort, analyze, evaluate, and distribute needed, timely, and accurate information to marketing decision makers.

40. Engel's laws: Differences noted over a century ago by Ernst Engel in how people shift their spending across food, housing, transportation, health care, and other goods and services categories as family income rises.

41. Generation Y: The 72 million children of the baby boomers, born between1977 and 1994.

42. Viral marketing: The Internet version of word-of-mouth marketing-e-mail messages or other marketing events that is so infectious that customers will want to pass them along to friends

43. Sense-of-mission marketing: A principle of enlightened marketing that holds that a company should define its mission in broad social terms rather than narrow product terms.

44. Adapted marketing mix: An international marketing strategy for adjusting the marketing mix elements to each international target market, bearing more costs but hoping for a larger market share and return

45. Adoption process: The mental process through which an individual passes from

first hearing about an innovation to final adoption
46. Agent: A wholesaler who represents buyers or sellers on a relatively permanent basis, performs only a few functions, and does not take title to goods
47. B2B (business-to-business) e-commerce: Using B2B trading networks, auction sites, spot exchanges, online product catalogs, barter sites, and other online resources to reach new customers, serve current customers more effectively, and obtain buying efficiencies and better prices
48. C2B (consumer-to-business) e-commerce: Online exchanges in which consumers search out sellers, learn about their offers, and initiate purchases, sometimes even driving transaction terms
49. Administered VMS: A vertical marketing system that coordinates successive stages of production and distribution, not through common ownership or contractual ties, but through the size and power of one of the parties
50. C2C (consumer-to-consumer) e-commerce: Online exchanges of goods and information between final consumers
51. Market-penetration pricing: Setting a low price for a new product in order to attract a large number of buyers and a large market share.
52. Market-skimming pricing: Setting a high price for a new product to skim maximum revenues layer by layer from the segments willing to pay the high price; the company makes fewer but more profitable sales. 53. Multichannel distribution system (or hybrid market: A distribution system in
which a single firm sets up two or more marketing channels to reach one or more customer segments.
54. No personal communication channels: Media that carry messages without personal contact or feedback, including major media, atmospheres, and events.
55. Objective-and-task method: Developing the promotion budget by (1) defining specific objectives; (2) determining the tasks that must be performed to achieve these objectives; and (3) estimating the costs of performing these tasks. The sum of these costs is the proposed promotion budget.
56. Opinion leader: Person within a reference group who, because of special skills, knowledge, personality, or other characteristics, exerts influence on others.
57. Partner relationship management: Working closely with partners in other company departments and outside the company to jointly bring greater value to customers.
58. Point-of-purchase (POP) promotion: Display and demonstration that takes place at the point of purchase or sale.
59. Price elasticity: A measure of the sensitivity of demand to changes in price.
60. Product life cycle (PLC): The course of a product's sales and profits over its lifetime. It involves five distinct stages: product development, introduction, growth, maturity, and decline.
61. Product/market expansion grid: A portfolio-planning tool for identifying company growth opportunities through market penetration, market development, product development, or diversification.
62. Pull strategy: A promotion strategy that calls for spending a lot on advertising and consumer promotion to build up consumer demand. If the strategy is successful, consumers will ask their retailers for the product, the retailers will ask the

wholesalers, and the wholesalers will ask the producers.
63. Return on marketing (or marketing ROI): The net return from a marketing investment divided by the costs of the marketing investment.
64. Salutary products: Products that have low appeal but may benefit consumers in the long run.
65. Sequential product development: A new-product development approach in which one company department works to complete its stage of the process before passing the new product along to the next department and stage.
66. Service inseparability: A major characteristic of services—they are produced and consumed at the same time and cannot be separated from their providers.
67. Service intangibility: A major characteristic of services—they cannot be seen, tasted, felt, heard, or smelled before they are bought.
68. Service perishes ability: A major characteristic of services—they cannot be stored for later sale or use.
69. Service variability: A major characteristic of services—their quality may vary greatly, depending on who provides them and when, where, and how.
70. Simultaneous (or team-based) product development: An approach to developing new products in which various company departments work closely together, overlapping the steps in the product development process to save time and increase effectiveness.
71. Societal marketing concept: A principle of enlightened marketing that holds that a company should make good marketing decisions by considering consumers' wants, the company's requirements, consumers' long-run interests, and society's long run interests. 72. Third-party logistics (3PL) provider: An independent logistics provider that performs any or all of the functions required to get its client's product to market.
73. Telephone marketing: Using the telephone to sell directly to customers.
74. Undifferentiated (mass) marketing: A market-coverage strategy in which a firm decides to ignore market segment differences and go after the whole market with one offer.
75. Vertical marketing system (VMS) : A distribution channel structure in which producers, wholesalers, and retailers act as a unified system. One channel member owns the others, has contracts with them, or has so much power that they all cooperate.
76. Wheel-of-retailing concept: A concept of retailing that states that new types of get buyers and neighbors, friends, family members, and associates.
77. Value-based pricing : Setting price based on buyers' perceptions of value rather than on the seller's cost.
78. Unsought product : Consumer product that the consumer either does not know about or knows about but does not normally think of buying.
79. Technological environment : Forces that create new technologies, creating new product and market opportunities.
80. Supply chain management : Managing upstream and downstream value-added flows of materials, final goods, and related information among suppliers, the company, resellers, and final consumers.
81. Standardized marketing mix : An international marketing strategy for using basically the same product, advertising, distribution channels, and other

elements of the marketing mix in all the company's international markets.
82. Portfolio analysis : The process by which management evaluates the products and businesses making up the company.
83. Broker : A wholesaler who does not take title to goods and whose function is to bring buyers and sellers together and assist in negotiation.
84. Allowance : Promotional money paid by manufacturers to retailers in return for an agreement to feature the manufacturer's products in some way.
85. access : Access to library materials and services, on one dimension, is represented in the location of physical facilities. Because libraries are travelled-to outlets, marketing location theories can be applied successfully to library siting. (Wood and Koontz)
86. accountability : Libraries like private sector businesses are increasingly called upon to make all units accountable for results. Growing funds are needed for technology as opposed to only books. Funders often cut the library budget first, in favor of other agencies such as police and fire or other seemingly, more necessary agencies. Libraries are developing better performance measures within the present day control systems to offer better accountability. (Wood and Koontz
87. acculturation : The process by which people in one culture or subculture learn to understand and adapt to the norms, values, life styles and behaviors of people in another culture or subcultures. For example, acculturation is the process by which a recent immigrant learns the way of life of the new country. Library services and materials facilitate this process.
88. acquisition value : The users' perception of the relative worth of a product or service to them. Formally defined as the subjectively weighted difference between the most a buyer would be willing to pay for the product or service, less the actual price of the item. Time user must spend to 'acquire' is often used as a surrogate for 'relative worth or price paid,' in library research. For example, a user might be willing to expend drive time and a brief time in the library to check out a best seller, but not wait two weeks for a copy to be returned.
89. activities, interests, and opinions (AIO) : A measurable series of psychographic (as opposed to demographic) variables involving the interests and beliefs of users. Note, because psychographics are usually expensive to gather, yet offer a more precise profile of users, demographic variables are usually relied upon.
90. adopter categories : Persons or agencies that adopt an innovation are often classified into five groups according to the sequence of their adoption of it. (To illustrate this think of individual use of the Internet within the library, and for an agency, libraries that offer Internet access to the general public. 1) Innovators (first 2-5%); 2) Early adopters (10-15%)' 3) Early majority (next 35%); 4) Late majority (next 35%); 5) Laggards (final 5-10%). This is important when considering how long it may take for the general public to 'adopt' a product or service.
91. advertising : The placement and purchase of announcements and persuasive messages in time or space in any of the mass media by business firms, nonprofit organizations. This has not been a traditional method of informing the public, rather public service announcements, which are placed at no cost, are the norm for

libraries.
92. aggregation : A concept of market segmentation that assumes that most consumers are alike. A library of the past had an 'opening day' collection of materials, that could be found in most towns and cities. Today's libraries are more aware of considering the unique needs of individuals in the market area.
93. aging : The length of time merchandise has been in stock. For the library this could be of benefit by gaining knowledge about the duration of certain goods.
94. all-you-can-afford budgeting : An approach to the advertising budget that establishes the amount to be spent on advertising as the funds remaining after all other necessary expenditures and investments are covered. Libraries often relegate all promotion related materials and services into this category.
95. ambiance : An overall feeling or mood projected by a store through its aesthetic appeal to human senses. A brightly colored children's room is more appealing to juveniles than an area sectioned off within the adult room which blends in.
96. analysis : In marketing and other social science disciplines, a variety of statistical and nonstatiscal methods are used to analyze data, instead of sheer intuition, or simple descriptive statistics-- which have been the norm in the library filed. (Wood and Koontz)
97. broadcast television : A method of distributing television signals by means of stations that broadcast signals over channels assigned to specific geographic areas.
98. circulation : The number of copies of a print advertising medium that are distributed. For the library field, this is numbers of items checked out by users.
99. classic merchandise : The merchandise that is not influenced by style changes for which a demand virtually always exists. For the library this might be print encyclopedias, indexes, classical literary works.
100. consumer behavior : The behavior of the consumer or decision maker in the market place of products and services. Library user behavior is often captured in library literature under use studies.
101. contingency planning : Developing plans to provide alternative plans to the main plan. This is proactive management that deals with events considered unlikely to occur. For example, while a library budget may appear to be adequate and stabile, a contingency plan should be in place in case of cutbacks in funding. customer
102. copyright : A copyright offers the owner of original work that can be printed, recorded or "fixed" in any manner the sole right to reproduce and distribute the work, to display or perform it and to authorize other to do so., during the author's lifetime and for fifty years thereafter.
103. factor analysis : A body of statistical techniques concerned with study of interrelationships among a certain set of variables--none of which is given the special status of a criterion variable.
104. family : A group of at least two people in a household based on marriage, cohabitation, blook relationships or adoption.
105. family decision making : The processes, interactions, and roles of family members involved in making decisions as a group.

106. family life cycle : A sociological concept that describes changes in families across time, emphasizing effects of marriage, divorce, births and deaths on families and changes in income.
107. feature : The use of advertising, displays, or other activity, generally by a retailer, to call special attention to a product, generally for a limited period of time.
108. feature story : A type of publicity material that can be used by the media at their convenience because it is not time-related. Library materials and services available are good candidates for this type of story.
109. fill rate : An inventory's availability goal used when setting customer service objectives, for example 80 out of 100 reference questions were answered in a workday.
110. flagship store : In a local department store organization/library system, the main or central store/library when it is large or dominant in relation to other company stores.
111. focus group : A method of gathering quantitative data on the preferences and beliefs of consumers through group interaction and discussion usually focused on a specific topic or product.
112. forecasting models : In forecasting sales, or library use, or other objectives, a variety of statistical models are used and available, offering insights otherwise difficult to obtain.
113. galley proof : A copy of the individual pages of an ad, brochure, poster or other printed material used for final proofreading of the text before final negatives are made for the printing process.
114. gatekeeper : Usually the individual who controls the flow of information from the mass media to the group or individual.
115. geodemography : The availability of demographic consumer behavior and life style data by arbitrary geographic boundaries that are typically quite small. For example, a library-designated service area of two census tracts (US).
116. goals : A concrete point of measurement that the business unit/library intends to meet to achieve objectives. For example, the library's goal is to improve reference services, its objectives include increasing fill rate by 20% in two months.
117. gravity model : A theory about the structure of market areas. The model states that the volume of purchases by consumers/users the frequency of trips to the outlets are a function of the size of the stores/library and the distance between the store and the origin of the shopping trip.
118. growth state of product life cycle : Second stage during which sales/use are increasing
119. habit : A learned response to a stimulus that has become automatic and routine, requiring little or no cognitive effort. It is often said that the reading and library habit if not learned as a child, will not be learned as an adult.
120. halo effect : A problem that arises in data collection when there is carry over from one judgement to another.
121. high income countries : Countries whose income per capita are high compared to the rest of the world.

122. image : The sum of beliefs, ideas and impressions that a person has of an object or agency. (Assael). For example, the library holds an image of prestige for some communities.
123. income differential : The difference in income levels among people of various categories, such as different jobs, geographic areas, age classes, sexes, races and the like.
124. industrialized country : Characteristics: 1) degree of urbanization increases, literacy levels are high, exceeding 85%, population engaged in agriculture drops substantially; 2) wage levels rise sharply and ownership of durables; 3) need for labor saving methods creates new industries.
125. life style : The manner in which people conduct their lives, including their activities, opinions, and interests (AIO).
126. literature search : A search of statistics, trade journal articles and other media for data or insight into the problems at hand. Special libraries often provide customized searches for a fee.
127. low income countries : Countries with the lowest income per capita compared with the rest of the world. The bottom quartile is often considered low income.
128. macroenvironment : The conditions facing a company/library including demographic economic, natural, technological, political, and cultural forces.
129. market : The set of actual of potential users/customers. (Kotler)
130. market area : A geographical area containing the customers/users of a particular firm/library for specific goods or services. (The library's legal service area.)
131. market development : Expanding the total market served by 1) entering new segments, 2) converting nonusers, 3) increasing use by present users.
132. market positioning : Positioning refers to the user's perceptions of the place a product or brand occupies in a market segment. Or how the company/library's offering is differentiated from the competition's.
133. market profile : A breakdown of a facility's market area according to income, demography, and life style (often.)
134. market research : The systematic gathering, recording and analyzing of data with respect to a particular market, where market refers to a specific user group in a specific geographic area.
135. market segmentation : The process of subdividing a market into distinct subsets of users that behave in the same way or have similar needs. Segments for the library could be demographic (Asian); geographic (branchlevel); psychographics (leisure-oriented); customer size (largest user group area); benefits (have children in the home learning to read.) 136. market share : A proportion of the total sales/use in a market obtained by a
given facility or chain.
137. marketing : The process of planning and executing the conception, pricing, promotion, and distribution of ideas, goods, and services to create exchanges that satisfy individual and organizational goals.
138. balanced stock : The composition of merchandise inventory in the colors, sizes, styles and other assortment characteristics that will satisfy user

wants. For the library this would mean, services and materials based upon users wants and needs.
139. barcode : An information technology application that uniquely identifies various aspects of product characteristics, increasing speed, accuracy, and productivity of distribution process. Most library materials are barcoded for security.
140. benefit segmentation : The process of grouping users into market segments on the basis of the desirable consequences sought from the product. For example, the library market for children's books, may include children and parents who are benefiting by developing the library and reading habit, and or recent immigrants who benefit from learning the language of the new country. Each is receiving a benefit from the product or service.
141. body language : The nonverbal signals communicated in interactions through facial expressions, arms, legs and hands--or nonverbal communication. This can be positive (a smile) or negative (a frown.)
142. brand : A name, term, design, symbol, or any other feature that identifies one seller's good or service as distinct from those of other sellers. The legal term for brand is trademark. A brand may identify one item, a family of items, or all items of that seller. If used for the firm as a whole, the preferred term is trade name. Library could be considered a trade name.
143. budget : The detailed financial component of the strategic plan that guides the allocation of resources and provides a mechanism for identifying deviations of actual from desired performance so corrective action can be taken. A budget assigns a dollar figure to each revenue and expense related activity. A budget is usually prepared for a period of one year by each component of an organization. A budget provides both a guide for action and a means of assessing performance. A budget is a library's post control system.
144. bureaucratic organization : Official decision making is circumscribed by laws, rules, and regulations which often result in inflexibility, "red tape" and slowness to act. A hierarchical business structure, unlike business that operates in a competitive environment that does not reward slow decision making if it results in poor sales or customer service. Library's are often linked to large bureaucracies, government or schools and universities.
145. cable television : A method of distributing television signals by means of coaxial or fiber-optic cables. Some libraries have programs on public access channels.
146. census : A complete canvass of a population.
147. census block : Usually a well-defined rectangular area bounded by streets or roads. It may be irregular in shape and may be bounded by physical features such as railroads or streams. Census block do not cross boundaries of countries, tracts, or block numbering areas.
148. census tract : A small, relatively permanent area (US) into which metropolitan statistical areas (MSAs) and certain other area are divided for the purpose of providing statistics for small areas. When census tracts are established they are designed to be homogeneous with respect to population characteristics, economic status and living conditions. Census tracts generally have between

2,500 and 8,000 residents.
149. chain store system : A groups of retail stores of essentially the same type, centrally owned and with some degree of centralized control of operation. This would be similar to the public library's system of branches.
150. channel of distribution : An organized network of agencies and institutions which in combination perform all the functions required to link producers with end customers to accomplish the marketing task. For a library this would include vendors, publishers as well as library facilities.
151. clustering : A statistical method of forming natural groupings in which a number of important characteristics of a large diverse group are identified in order to define target markets. For a library such a cluster might include higher education levels, and income. (Wood and Koontz)
152. community analysis : For a public library this is a market research exercise reviewing library statistics, population served characteristics, users and other stakeholders in the library characteristics to better profile the library's market area. (Wood and Koontz)
153. community relations : The library's interactions with the locality in which it operates, with emphasis on disseminating library-related information to foster trust in the library or information organization's activities.
154. competition : The rivalry among sellers trying to achieve such goals as increasing profits, market share and sales volume by varying the elements of the marketing mix: price, product, distribution and promotion. The agency changes to better meet consumer wants and needs. For a library competition may be bookstores, community events, video stores or even other libraries.
155. consumer : The ultimate user of goods, ideas or services. Also the buyer or decision maker, for example, the parent selecting children's books is the consumer.
156. consumer characteristics : The demographic, lifestyle and personality characteristics of the consumer. For a library this would be the user.
157. consumer satisfaction : The degree to which a consumer's expectations are fulfilled or surpassed by a product. User satisfaction with library services and materials is often difficult to determine because: 1) there is no clear ring of the cash register at the end of the day; 2) privacy issues concerning use of library materials and services usually deter marketing-type exit interviews; 3) and little research is conducted in this area due to lack of expertise.
158. convenience sample : A nonprobability sample of individuals who just happen to be where the study is being conducted when it is being conducted. For example, a library could interview people exiting the library asking, 'Were you satisfied with the materials and services, if not why?'
159. core product : The central benefit or purpose for which a consumer buys a product or service. The core product varies from purchaser to purchaser. For a library user the core benefit of checking out a book, may be for one user that there is no charge, and to another the availability of a work which can no longer be purchased.
160. correlation analysis : A statistical technique used to measure the closeness of the linear relationship between two or more intervally scaled

variables. For example public library use has a close linear relationship with people of higher education and income.
161. customer : The actual or prospective purchaser of products or services. The library user is the library's
162. marketing channel : A set of institutions necessary to transfer the title to goods and to move goods from the point of consumption. (Vendors, publishers, library facilities.)
163. marketing mix : The mix of controllable variables that the firm/library uses to reach desired use/sales level in target market, including price, product, place and promotion- 4 P's.
164. marketing opportunity : An attractive arena of relevant marketing action in which a particular organization is likely to enjoy a superior and competitive advantage. (Kotler) marketing plan A document composed of an analysis of the current marketing situation, opportunities and threats, analysis, marketing objectives, marketing strategy, action programs, and projected income statement
165. maturity stage of product life cycle : Initial rapid growth is over and use/sales level off. microenvironment The set of forces close to an organization that have direct impact on its ability to serve its customers, including channel member organizations, competitors, user markets, publics and the capabilities of the organization.
166. mission statement : An expression of a company's/library's history, managerial preferences, environmental concerns, resources, and competencies. It is used to guide the company's decion making process, answering what is our business, who do we serve, etc.
167. mores : The cultural norms that specify behavior of vital importance to society and embody its basic moral values.
168. motivation : The positive or negative needs, goals, desires and forces that impel an individual toward or away from certain actions, activities, objects or conditions. The inner needs and wants of an individual--what affects behavior.
169. multiple purpose trip : A key concept in central place theory that argues consumers prefer to visit more than one store per trip, generating positive externalities for neighboring stores. This view has mixed reviews in the library field.
170. newsletter : A brief digest of important or noteworthy information. A method of reaching various publics quickly--e.g., the friends of the library newsletter.
171. nominal scale : A measurement scale in which numbers are assigned to attributes of objects or classes of objects solely for the purpose of identifying the objects.
172. nonprobability sample : A sample that relies on personal judgment somewhere in the element selection process.
173. nonprofit marketing : The marketing of a product or service in which the offer itself is not intended to make a monetary profit for the marketer.
174. norms : The rules of behavior that are part of the ideology of the group. Norms tend to reflect the values of the group and specify those actions that

are proper and those that are inappropriate, as well as rewards for adherence and the punishment for conformity. Norms are important for librarians to understand when serving culturally diverse markets.
175. objectives : The desired or needed result to be achieved by a specific time. An objective is broader than a goal, and one objective can be broken down into a number of specific goals.
176. observation : A method of data collection in which the situation of interest is watched and the relevant facts, actions and behaviors are recorded. This is a important area of library use which is usually uncounted--what people are actually doing in the library e.g., browsing, using the computer, reading to a child, etc.
177. opinion : A belief or emotionally neutral cognition the individual holds about some aspect or object in the environment.
178. ordinal scale : A measurement in which numbers are assigned to attributes of objects of classes of objects to reflect the order.
179. output evaluation : An objective measure of use performance, such as circulation per capita of a library population, reference transactions per capita, etc.
180. positioning : (see product positioning)
181. preindustrialized country : Characteristics: 1) Low literacy rates and high perecentage of employment in agriculture; 2) low population density and low degree of urbanization; 3) linguistic heterogeneity and a small percentage of working age population; 4) industrial sectors nonexistent and undeveloped; 5) heavy reliance on foreign sources for all manufacturers and principal engagement in agricultural endeavors.
182. private sector : Activities outside the public sector that are independent of government control, usually, but not always carried on for a profit.
183. product : A bundle of attributes or features, functions, benefits and uses capable of exchange, usually in tangible or intangible forms. The library's products include materials to use, questions answered, storyhours, online searching, etc.
184. publics : The groups of people that have an actual or possible interest in or impact on the company's efforts to achieve its goals.
185. reach : The number of people or households exposed to a particular advertising media or media schedule during a specified time.
186. respondent : A person who is asked for information using either written or verbal questioning, typically employing a questionnaire to guide the questioning.
187. salary : Compensation paid periodically to a person independent of performance (in sales or levels of use stimulated.)
188. sample : The selection of a subset of elements from a larger group of objects.
189. sample survey : A cross sectional study in which the sample is selected to be representative of the target population and in which the emphasis is on the generation of summary statistics such as averages and percentages.
190. scanner : An electronic device that automatically reads imprinted codes, as the product is pulled across the scanner. The library field is successfully

using these for circulation and other use counts.
191. segmentation : (see market segmentation)
192. self-concept : The ideas, attitudes, and perceptions people have about themselves.
193. self service : The type of operation in which the customer/user is exposed to merchandise (browsing and self-selection) without assistance, unless customer/user seeks assistance.
194. selling orientation (Wood) : A company-centered rather than a clientcentered approach to conduct of business. This orientation tends to ignore what the customer/user really wants and needs.
195. service(s) : Products such as a bank loan or home security or library loans, that are intangible or at least substantially so.
196. shopping good : Goods and products can be classified as convenience, shopping or specialty. A shopping good is one that more time is spent selecting (browsing) than a quick convenience good. Example, a certain type of mystery book.
197. situation analysis (SWOT) : An examination of the internal factors of a library to identify strengths and weaknesses, and the external environment to identify opportunities and threats.
198. slogan : The verbal or written portion of an advertising message that summarizes themain idea in a few memorable words--a tag line.
199. social advertising : The advertising designed to education or motivate target audiences to undertake socially desirable actions.
200. social class : A status hierarchy by which groups and individuals are classified on the basis of esteem and prestige.
201. social indicator : The data and information that facilitate the evaluation of how well a society or institution is doing.
202. specialty advertising : The placement of advertising messages on a wide variety of items of interest to the target markets such as calendars, coffee cups, pens, hats, note paper, t-shirts, etc. These are widely given out to librarians at professional conferences from vendors. Libraries may use these items as well, but are usually sold in library gift shops.
203. specialty good : A specialty good is one that users/consumers will spend more time searching for, and time travelling to and pay higher for. A library specialty good could be a certain online service or special collection of materials.
204. stakeholder : One of a group of publics with which a company must be concerned. Key stakeholders for a library could be users, employees, board members, vendors or other who have a relationship with the library.
205. store layout : The interior layout of the store/library for the ease of user movement through the store to provide maximum exposure of good and attractive display. Retail store layout, is also successfully applicable to library layout.
206. strategic market planning : The planning process that yields decisions in how a business unit can best compete in the markets it elects to serve. The strategic plan is based upon the totality of the marketing process.
207. subculture : The segments within a culture that share distinguishing meanings, values, and patterns of behavior that differ from those of the overall

culture. These subcultures are important to recognize in library communities that may serve a disproportionate number, whose information needs may be nontraditional and unique.
208. subliminal perception : A psychological view that suggests that attitudes and behaviors can be changed by stimuli that are not consciously perceived.
209. workroom : A service department such as apparel alterations, drapery manufacture, library materials processing.
210. young single stage : (see family life cycle)
211. ZIP code : A geographical classification system developed by the U.S. government for mail distribution, a nested numeric range of 5 to 9 numbers.
212. wants : The wishes, needs, cravings, demands or desires of human beings. 213. will-call : The products ordered by customers/users in advance of the time delivery desired. Books on reserve.
214. word of mouth communication(WOM) : This occurs when people share information about products or promotions with friends--research indicate WOM is more likely to be negative.
215. VALS (values and lifestyles) : An acronym standing for values and life styles. VALS is a psychographic segmentation approach developed at Stanford Research Institute International. This data is useful to public and private sector. Unfortunately, the data is still largely expensive, therefore, libraries and other non-profits still widely rely on demographics.
216. value : The power of any good to command other goods in peaceful and voluntary exchange.
217. values : The beliefs about the important life goals that consumers are trying to achieve. The important enduring ideals or beliefs that guide behavior within a culture or for a specific person.
218. variety : The number of different classifications of goods carried in a particular merchandising unit. How many different children's authors are represented in the juvenile collection?
219. culture : The set of learned values, norms, and behaviors that are shared by a society and are designed to increase the probability of the society's survival. These include shared superstitions, myths, folkways, mores and behavior patterns that are rewarded or punished. For libraries, the understanding of different cultures, as new immigrant groups move into the market area is extremely important to take into consideration, in order to provide the needed materials and services.
220. demarketing : The process of reducing the demand for a product--or decreasing consumption.
221. display : A special exhibit of a product or service at the point of sale, generally over and above standard shelf stocking. Simply books place on display over specific subject areas.
222. dwell time : The amount of time a customer/user spends in time waiting in line. For a library user this is a price expended.
223. eighty-twenty principle : The situation in which a disproportionately small number (e.g., 20%) of staff, products or users generate a disproportionately

large amount (e.g., 80%) of a firm's use/profits. A use analysis should be conducted to determine what the cause is.
224. elasticity : The degree that an economic variable changes in response to a change in another economic variable. For example how much library use changes according to how far an individual must travel for library services.
225. environment, external : The complex set of physical and social stimuli in the external world of consumers.
226. environmental analysis : Gathering data regarding political, cultural, social, demographic, economic, legal, international and ecological forces , identifying trends affecting agency.
227. environmental monitoring : Keeping track of a changes in the environment.
228. evoked set : A set of alternatives that are activated directly from memory--certain brands considered during the buying process.
229. exchange : All activities associated with receiving something from someone by giving something voluntarily in return. This is the heart of the marketing process. A library user gives time instead of money to borrow materials, but it is still an exchange.
230. exhibit : The gathering and displaying of products, people, or information at a central location for viewing by a diverse audience. Most libraries have exhibits created by staff, community or other stakeholders.
231. experience survey : A series of interviews with people knowledgeable about the general subject being investigated.
232. external data : Data that originate outside the organization for which research is being done.
233. reference group : A group that the individual tends to use as the anchor point for evaluating his/her own beliefs and attitudes. Teenagers influence their peers regarding library use.
234. target market identification : The process of using income, demographic, and life style characteristics of a market and census information for small areas to identify the most favorable locations.
235. attitudes : Enduring systems of positive or negative evaluations, emotional feelings, and action tendencies with respect to an object. Consumer's overall liking or preference for an object. (Assael)
236. atmospherics : The physical characteristics of the library such as architecture, layout, signs and displays, color, lighting, temperature, access, noise, assortment, prices, special events, etc., that serve as stimuli and attention attractors of users to the library or information agency.
237. audience : The number and/or characteristics of the persons or households who are exposed to a particular type of advertising media or media vehicle. In a library this could be a certain number of people that attend a library program.
238. audit : The process of reviewing the library's strengths and weaknesses (internally), and opportunities and threats (externally) to shed light on the agency's performance.
239. convenience product : A consumer good and/or service (such as

soap, candy bar, and shoe shine) that is bought frequently, often on impulse, with little time effort spent on the buying process. A convenience product usually is low-priced and is widely available. For a public library this type of material might be newspapers or magazines, or perhaps a quick selection of other materials with little browsing or research. These materials or services are usually located within facility for easy and quick access.

240. database : A compendium of information on current and prospective users that usually includes demographic data as well as use data, volume and content. This is a privacy issue in American libraries. The address data of library users can be called "point-of-sale (use) data and is a rich source of marketing data for library management.

241. decennial census : In the U.S. this is a complete count of the population every ten years. For example the next count is the year 2000, and previous years 1990, 1908, etc. There is also a sample census which is taken for hundreds of other population descriptive characteristics. For the library field census data are identified that strongly indicate library use through research.

242. decision support system (DSS) : A decision support system (marketing definition) is a systematic collection of data, techniques and supporting software and hardware by which an organization gathers and interprets relevant information from business and the environment and turns it into a basis for making management decisions. A DSS differs from a management information system in that it is designed to answer precise questions and what/if questions. An example would be, 'What affect on system library use will there be if Branch X is closed?'

243. Delphi technique : A frequently used method in futures research to gain consensus opinion among experts about likely future events, through a series of questionnaires.

244. demand : The number of units of a product sold in a market over a period of time. For example, six thousand library books were circulated in Branch X's market area last year.

245. demographics : Objective characteristics of consumers such as age, income, education, sex or occupation (Assael.)

246. descriptive research : A research design in which the major emphasis is on determining the frequency with which something occurs. For example, how often users access the Internet in a given month.

247. destination merchandise : A type of merchandise that motivates or triggers a trip to a specific store. A library's special collection on African history is an example. This is also a 'specialty good.

248. developing country : Characteristics: 1) more than 33% of the population is engaged in agriculture, less than 30% of population is urban; 2) at least 50% of population is literate; and 3) highly developed industrial sectors and consumer markets of significant per capita size.

249. diffusion of innovation : The spread of innovation with a market group in stages--innovators (2- 5%), early adopters (10-15%), early majority (next 35%), late majority(next 35%), and laggards (final 5-10%.) Fair amount of disagreement about the percentages.

250. direct marketing : Marketing efforts, in total directed toward a specific targeted group--direct selling, direct mail, catalog or cable--for soliciting a response from customer. A library may mail a library registration card to every new mother in the hospital.
251. directional and departmental signage : A signage system that helps guide the library user through the library and locate specific departments of interest.
252. distribution : The marketing and carrying of products to customers (bookmobiles, facilities, library loan.)
253. diversification (Wood) : Extends skills or experience from current product or market activities rather than covering totally unfamiliar territory. Customized online searches by reference librarians would extend their current research in print skills.
254. dummy : Preliminary layout for an ad, or other print material.
255. dwelling unit : A single home or other unit in which a cohesive set of individuals reside, and typically many good s are purchased in common.
256. knowledge : Consumers' meanings or beliefs about products, brands, stores, that are stored in memory.
257. patronage motives : The motives that drive an individual/user toward selection of a particular outlet, retailer, or supplier of services.
258. per capita income : A nation's or other geographic market's total income divided by the number of persons in its population.
259. perception : Perception is the cognitive impression that is formed of "reality" which in turn influences the individual's actions and behavior toward that object.
260. personality : Consistent pattern of responses to the stimuli from both internal and external sources.
261. potential market : Set of users who profess some level of interest in a designed market offer. (Kotler)
262. press conference : A convening of media by a person or organization to explain, announce or expand on a particular subject.
263. psychographic segmentation : Dividing markets into segments on the basis of consumer life styles.
264. public opinion : The consensus view of a population on a topic.
public policy A course of action pursued by the government pertaining to people as a whole on which laws rest.
265. quality control : An ongoing analysis of operations, to verify goods or service meet specified standards, or to better answer customer/user complaints. Libraries have been criticized for not employing more quality control standards on library services.
266. questionnaire : A document that is used to guide what questions are to be asked respondents and in what order, sometimes lists the alternative responses that are acceptable. An excellent research instrument for libraries to assess customer satisfaction on exit interviews
267. range : The maximum distance a consumer is ordinarily willing to travel for a good or service; as such it determines the outer limit of a store/library's market area. Research in the library field indicate there is an average two mile

limit for a library user to travel to a branch, while for a central library with specialized good, it may widen to even 10 or 15 miles. This research does not allow for the travel limitations imposed by culture, age, or physical handicap, or topographical barriers.
268. regression analysis : A statistical technique to derive an equation that relates a single, continuous criterion variable to one or more continuous predictor variables.
269. Reilly's law : A model used in trad area analysis to define the relative ability of two cities to attract users from the area between them.
270. roles : The behavior that is expected of people in standard situations.
271. rural population : The part of the total population not classified as urban
272. secondary shopping district : A cluster of stores outside the central business district that serves a large population within a section or part of a large city.
273. wealth : The aggregate of all possessions of economic good owned by a person.
274. vicarious learning : The changes in an individuals behavior brought about by observing the actions of others and the consequences of those actions. Research indicates that immigrant adults often learn about the reading land library habit through their children's same experiences at school.
275. vision : A guiding theme that articulates the nature of the business/library and its intentions for the future, based upon how management believes the environment will unfold. A vision is informed, share, competitive and enabling.
276. underdeveloped country : Characteristics: small factories erected to supply batteries, tires, footwear, clothing, building materials and packaged foods; agricultural activity declines and egree of urbanization increases; available educational effort expands and literacy rises.
277. underprivileged family : A family in social class that does not have enough money to purchase the necessities, i.e., shelter, clothing and transportation, appropriate for its class status.
278. unit control : The control of stock in terms of merchandise units rather than i terms of dollar value. This is representative of a the number of books, magazines, etc of a library collection.
279. urban population : Persons living in places of 2,500 or more inhabitants incorporated as cities, villages, boroughs, or areas designated as such by the US Census, with some exceptions.
280. utility : The state or quality of being useful. What is the utility of marketing practices to the library field?
281. target market : The particular segment of a total population on which the retailer focuses its merchandising expertise to satisfy that submarket in order to accomplish its profit objectives. Or for the library, a target market might be within the market area served, children 5-8 years old, for summer reading programs, to increase juvenile use and registration.
282. technology : The purposeful application of scientific knowledge; an

environmental force that consists of inventions and innovations from applied scientific and engineering research.
283. telephone interview : A telephone conversation between a representative of the research organization, the interviewer, and a respondent or interviewee.
284. thumbnail : A rough sketch for a layout for a piece of print advertising.
285. transportation : A marketing function that adds time and place utility to the product by moving it from where it is made to where it is purchased and used. In includes all intermediate steps in the process.
286. diffusion model : A model representing the contagion or spread of something through a population. (Examples: spread of air conditioning in Florida and subsequent population growth, and spread of Library of Congress pre-printed cards to American libraries.) Mathematical formulations are available to predict spread/growth.
287. economic environment : Part of the macroenvironment encompassing wealth, income, productivity, inflation, credit, employment, etc. which affect the agency/library's markets and opportunities.
288. erratic demand : A pattern of demand for a product that is varied and unpredictable, e.g., some best sellers, or specific online databases randomly assigned in curriculum by teachers.
289. exploratory research : A research design in which the major emphasis is on gaining ideas and insights.
290. goods : A product that has tangible form in contrast to services that are intangible. A book versus a story read.
291. key success factors : The factors that are a necessary condition for success in a given market. For example in a highly hispanic market, a library to succeed would have spanish language materials.
292. market demand : The total volume of a product or service bought/used by a specific groups of customers/users in a specified market area during a specified period.
293. penetrated market : Actual set of users actually consuming the product/service. (Kotler) 294. personal income : The current income received by persons from all
sources less contributions for social insurance--e.g., Social Security (US).
295. personal interview : A direct, face-to face conversation between a representative of the research organization (the interviewer) and a respondent or interviewee.
296. physical inventory : An inventory determined by actual count and evidenced by a listing of quantity, weight, or measure. Number of volumes, periodicals, vides a library owns.
297. place : In the channels of distribution, the physical facilities point of location.
298. point-of-purchase : Promotional materials placed at the contact sales point designed to attract user interest or call attention to a special offer, e.g., 'Sign up for Summer Reading Program.
299. point-of-sale(POS) : A data collection system that electronically receives and stores bar code information derived from a sales transaction. This could the

zip codes for library users, facilitating the library in determining geographic market are that users reside in.
300. population : The totality of cases that conforms to some designated specifications.
301. poverty level : The poverty level is based solely on money income and updated every yearr to reflect changes in the consumer price index, used to classify families as being above or below the poverty level.
302. price : The formal ratio that indicates the quantities of money goods or services needed to acquire a given quantity of goods or services. For a library user price may come in the form of time the library users must expend to obtain library materials or services.
303. product life cycle : The four stages products go through from birth to death: introductory, growth, maturity, and decline.
304. product mix : The full set of products offered by an organization e.g., books, videos, storyhours, etc.
305. product positioning : The way users/consumers view competitive brands or types of products. This can be manipulated by the organization/library. The library's video collection, available for free, is competitive with local video stores that charge, if video collections are comparable. If the collections are not, the library is differentiating the video collection from the video store.
306. promotion mix : The various communication techniques such as advertising, personal selling, sales promotion, and public relations/ product publicity available to the marketer to achieve specific goals. A library may use a combination of newspaper editorial, public service announcements (PSAs) on radio and possible television, if no budget is available for advertising.
307. psychographic analysis : A technique that investigates how people live, what interests them, what they like--also called lifestlye analysis or AIO because it relies on a number of statements about a person's activities, interests and opinions.
308. public relations : The form of communication management that seeks to make use of publicity and other nonpaid forms of promotion and information to influence feelings, opinions or beliefs about the agency/library and its offerings. This is a traditional form of communication for library management, as paid advertising media is rarely used.
309. public sector : Those marketing activities that are a carried out by government agencies for public service rather than for profit.
310. public service announcement (PSA) : An advertisement or commercial that is carried by an advertising vehicle at no cost as a public service to its readers, viewers, or listeners. While the no cost aspect is appealing, a library or other agency utilizing this media quickly realizes there is no control on the most effective time of placement.
311. quality of life : Sometimes measured by income, wealth, safety, recreation and education facilities, education health, aesthetics, leisure time and the like.
312. Quantity discount : A reduction in price for volume purchases.__